

Business Model Canvas and Innovation in Business

Week 2

BUS500 – Foundations for Business Impact

Professor: Josh Peterson



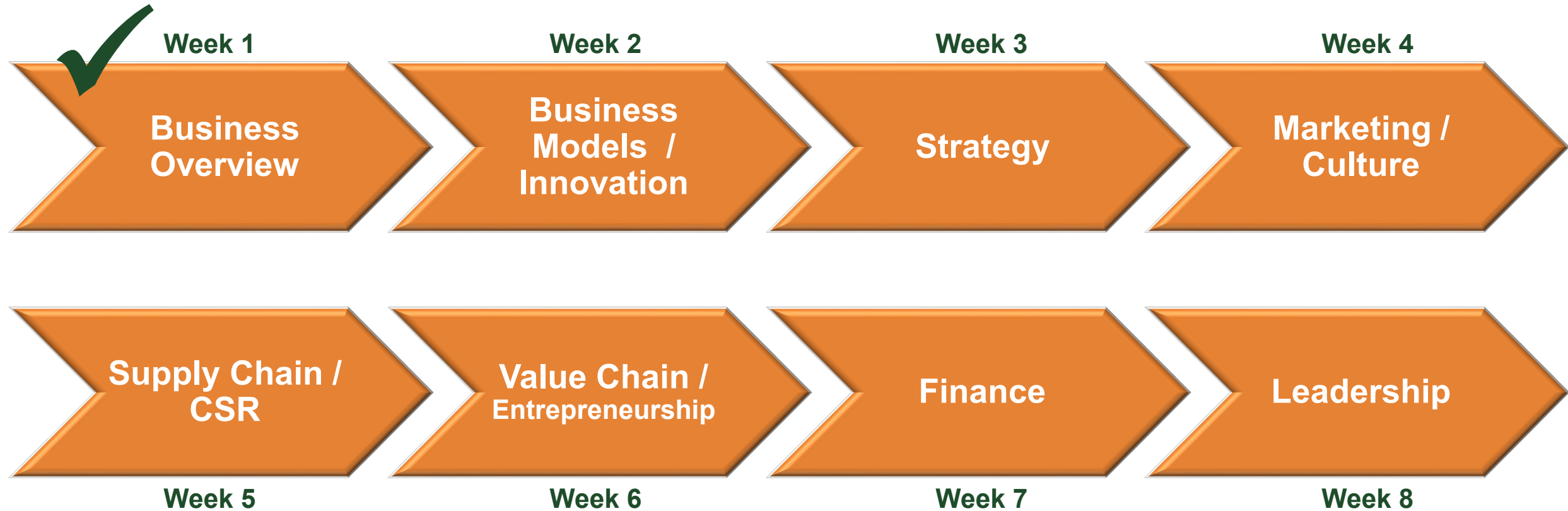
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Agenda

- Kickoff:
 - BMC Template Download
 - Note on class participation
 - Current Events?
 - Recap Week 1
- Business Model Canvas
- Innovation in Business
- Review Homework

NOTE: Best viewed in Slide Show mode
due to animations

Course Outline



Business Models



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Business Model

- What is the first thing you need when you start a business?
 - An idea to fill a gap in the industry that satisfies a need that exists
- What is the next thing you need?
 - Customers that will pay you for that product or service
- How do you make money?
 - Customers value your product or service enough to pay you for it and you are able to deliver it at a cost that allows you to make a profit

*A business model describes the rationale of how an organization: creates, delivers, and captures **VALUE**.*



Warm Up Exercise...



- Take 3-4 minutes and write down your own answers to these questions:
 - What is Netflix really selling?
 - What need does it satisfy that made people switch from cable, DVDs, or piracy?
 - Who is actually paying them? Is it one kind of customer, or several different kinds?
 - What does it cost Netflix to deliver on that promise, and where does most of that cost go?
 - What does Netflix depend on? People, technology, deals with others?
 - If a competitor wanted to copy Netflix tomorrow, what would be hardest for them to replicate?

Business Model Types

1. Manufacturer – make a product, sell it
2. Retailer – Sell products to the public
3. Distributor – buy a product, stock it, distribute/resell it (often to a retailer, restaurant, or reseller)
4. Services – Get paid to provide a service to customers
5. Leasing – Get paid to loan product to customers
6. Franchise – Sell or lease a business model and brand
7. Licensing - Monetizes intellectual property by charging customers to use it
8. Subscription – Get recurring payments by providing access to product or service
9. Freemium – Provide base-level service/experience for free, but sell add-ons for profit
10. Advertising – Sell your audience's attention
11. Razor Blades Model – Sell base product at a loss, sell related consumable supplies for profit
12. Multi-Sided Platforms – Sell direct interactions between two or more participating parties

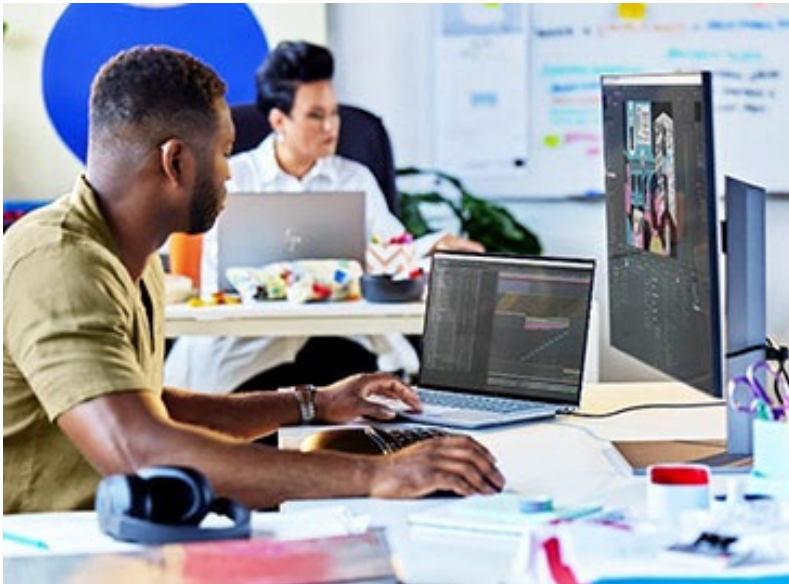
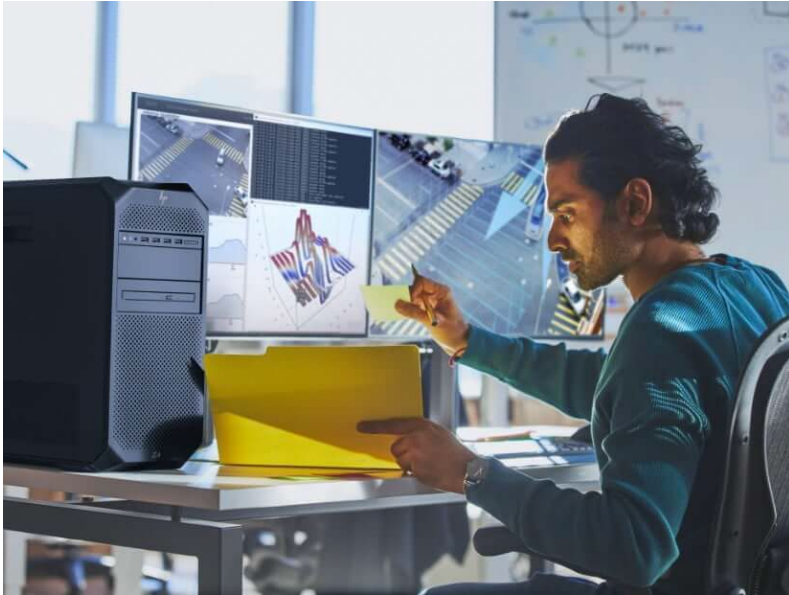


Business Model Canvas



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Context: HP Workstations – What is it?



Workstation: a high-performance, professional-grade PC, built for industries where computing power, reliability, and precision matter including:

- Engineering, architecture, manufacturing, media and entertainment, healthcare, finance, energy, and scientific research.

They are designed to handle the most demanding client workloads such as CAD and 3D modeling, simulation, data analysis, AI, visualization, financial modeling, and video production.



GE Healthcare



Gensler



UBS



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Business Model Generation

<https://www.strategyzer.com/books/business-model-generation>

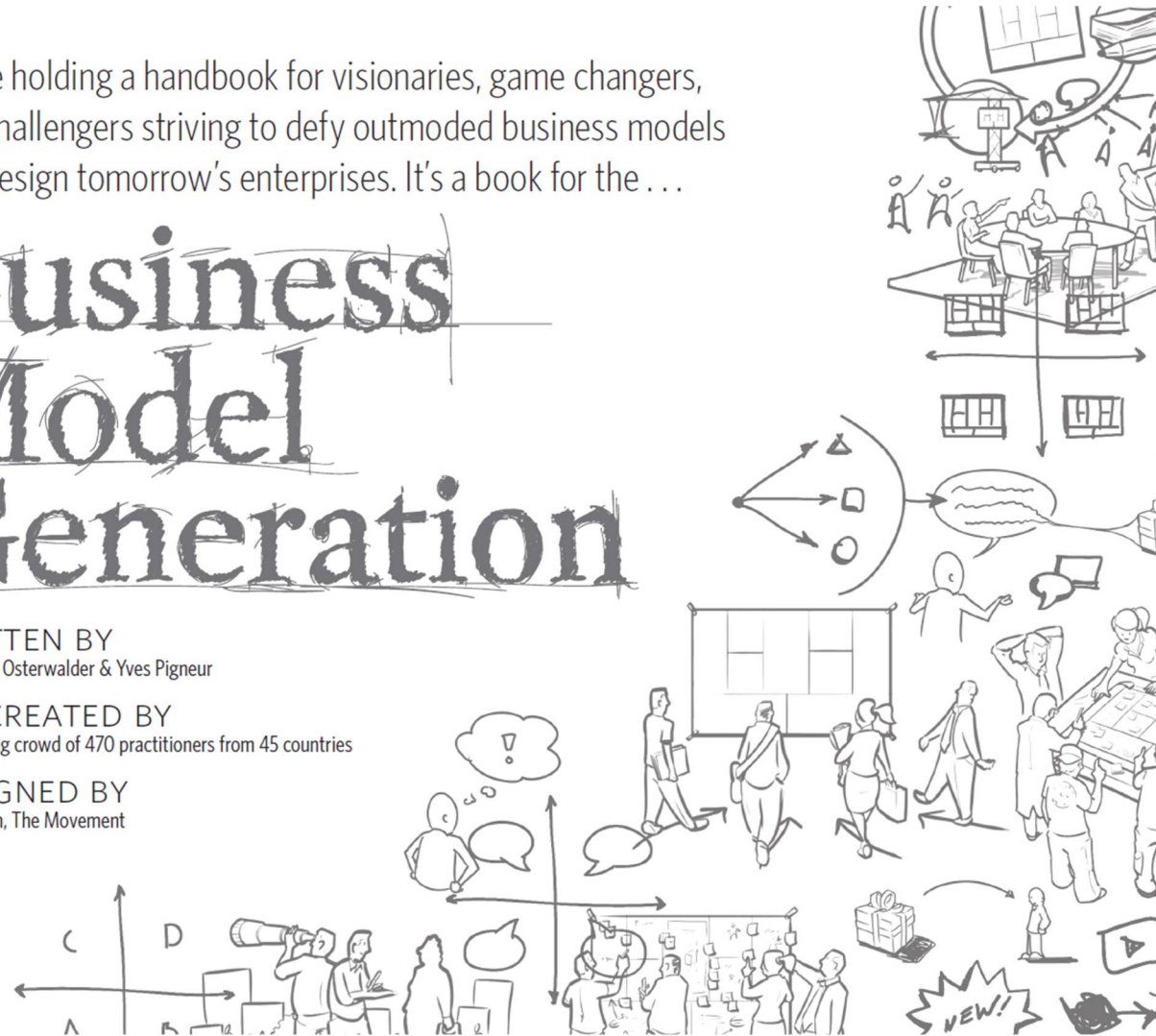
You're holding a handbook for visionaries, game changers, and challengers striving to defy outmoded business models and design tomorrow's enterprises. It's a book for the ...

Business Model Generation

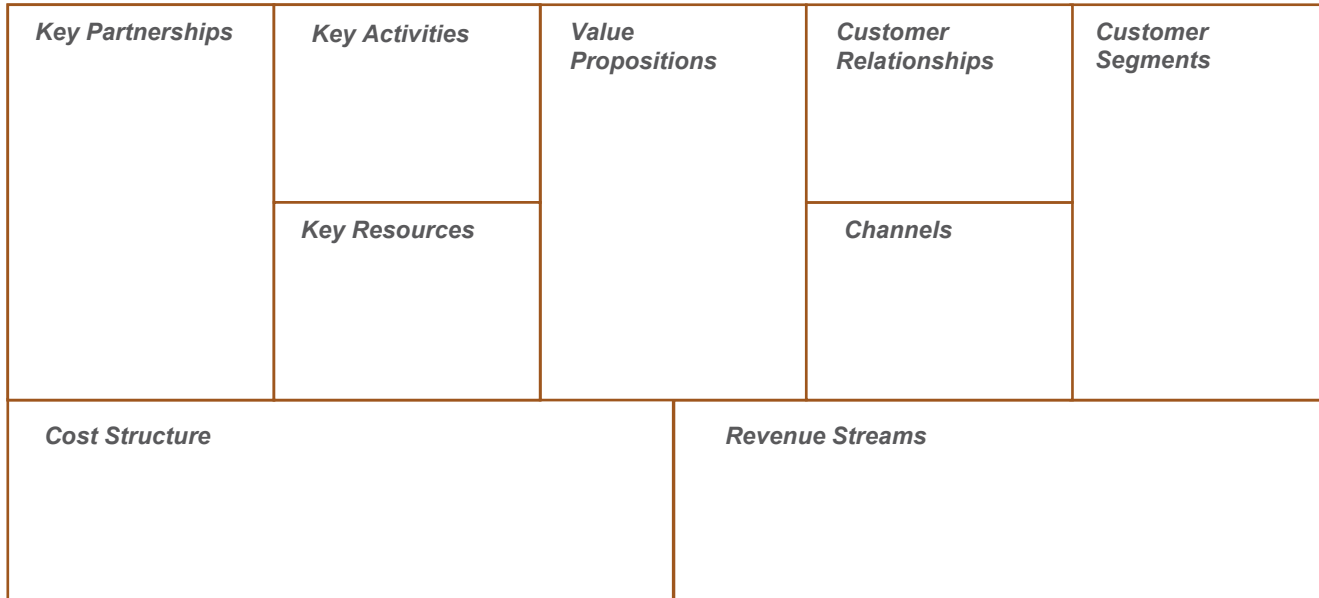
WRITTEN BY
Alexander Osterwalder & Yves Pigneur

CO-CREATED BY
An amazing crowd of 470 practitioners from 45 countries

DESIGNED BY
Alan Smith, The Movement

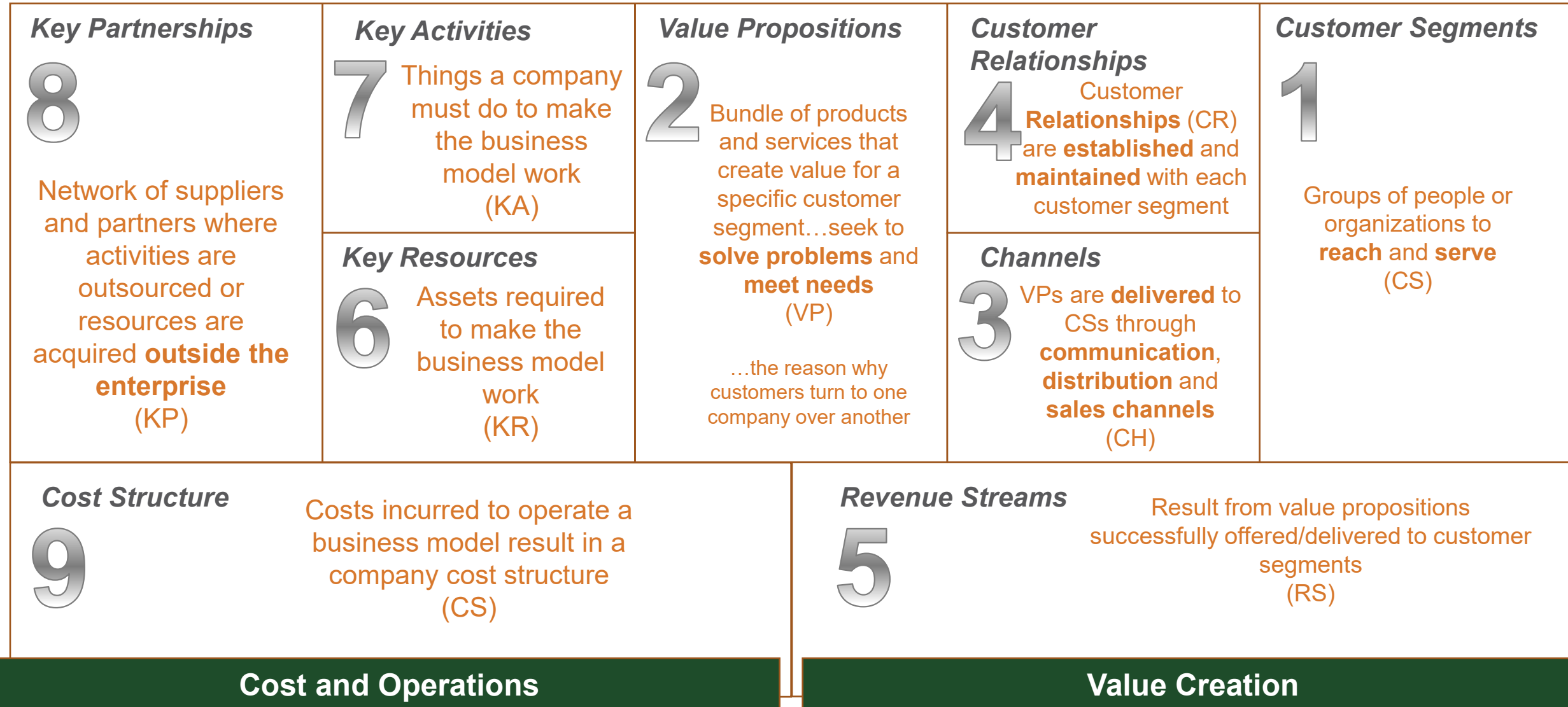


Business Model Canvas



- Tells the story of how a company creates, delivers, and captures value... **on a single page.**
- Why it works:
 - Visual
 - Facilitates Group Discussion
 - Practical, Simple, and Intuitive
 - Creates a Shared Language
 - Complete view of all aspects

Business Model Canvas – 9 Building Blocks



Business Model Canvas – Template Practice

- Online/Mosaic Students:
Download and Print Template

- Choose from:



- Label the top

The Business Model Canvas

Designed for: _____ Designed by: _____ Date: _____ Version: _____

Key Partners	Key Activities	Value Propositions	Customer Relationships	Customer Segments
	Key Resources		Channels	
Cost Structure		Revenue Streams		

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DESIGNED BY: Strategyzer AG
The makers of Business Model Generation and Strategyzer

Strategyzer
strategyzer.com

① Customer Segments

Groups of people or organizations
to **reach** and **serve**

For whom are we creating value?

Who are our most important customers?

Who can we/should we ignore?

- Why would you ignore potential customers?
 - FOCUS - It is just as important for you to determine what business you are NOT in as much as it is what business you ARE in
- Are teachers and students part of the same or different customer groups?



① Customer Segments

Customer groups may represent a separate segment if:

- Their needs require and justify a distinct offer
- They are reached through different distribution channels
- They require different types of relationships
- They have substantially different profitability
- They are willing to pay for different aspects of the offer



① Customer Segments

There are Different Types of Customers Segments:

Mass Market	Niche Market	Segmented	Diversified	Multi-sided
				

What are some pros and cons of each customer segment type?

① Customer Segments

PRACTICE



HP – Workstations	Apple – iPhone	Chosen Company
Segmented: • MCAD/Engineering • Digital Media and Entertainment • Financial • OEM (Healthcare) • Gaming		



② Value Proposition

Bundle of products and services that create value for a specific customer segments

What value do we deliver to the customer?

Which one of our customer's problems are helping to solve?

Which customer needs are we satisfying?

What bundle of goods and services are we offering?

What is your elevator pitch around your value proposition?

You can offer multiple VPs but focus is important – you'll do a better job and you know how to make tradeoffs

② Value Proposition

A Value Proposition creates value for a Customer Segment through a distinct mix of product/service characteristics that meet that segment's needs.

Some common characteristics:

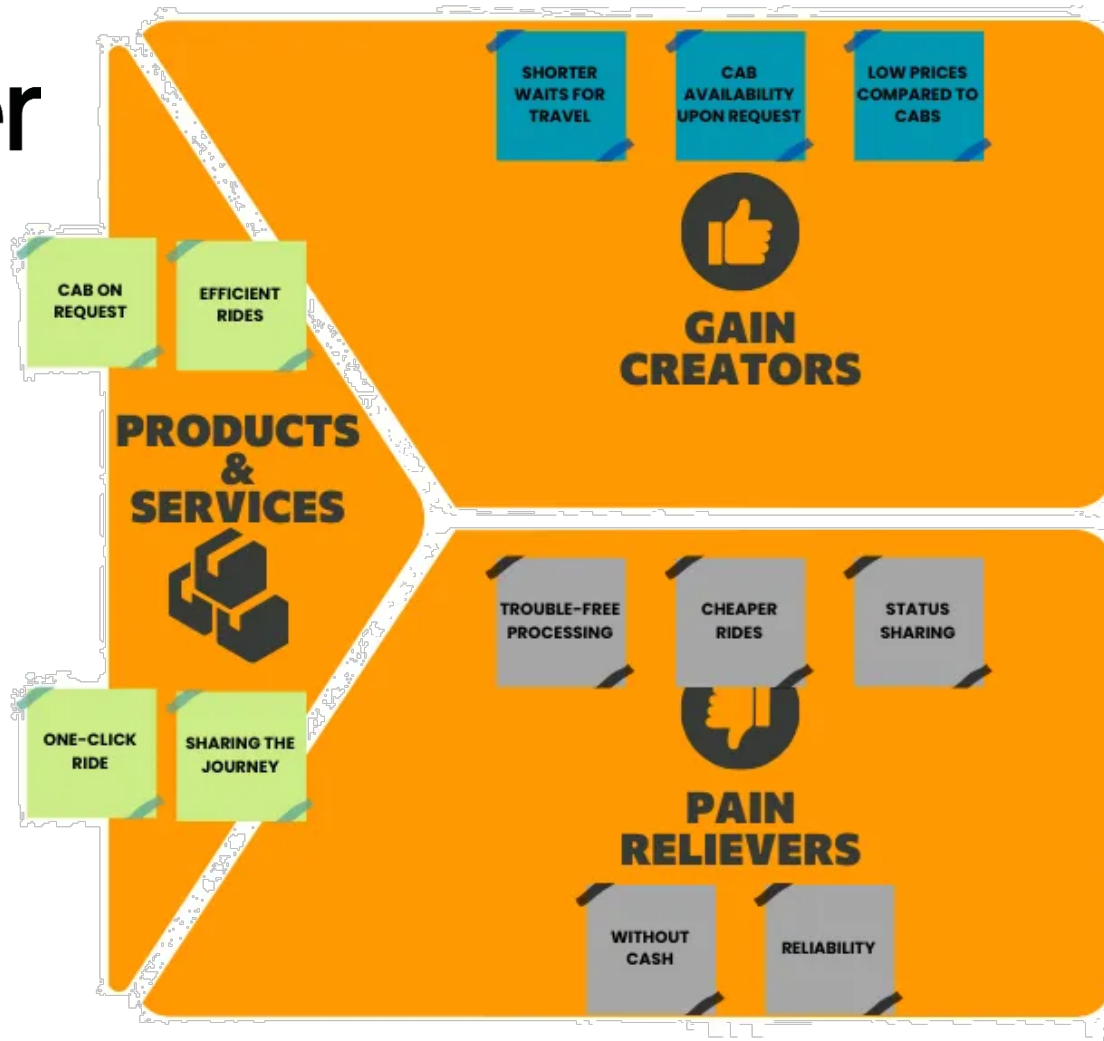
- Newness
- Performance
- Customization
- “Get the job done”
- Design
- Brand/Status
- Price
- Cost Reduction
- Risk Reduction
- Accessibility
- Convenience/Usability



Value Proposition Canvas

Sidebar Topic

Uber



VALUE
PROPOSITION



CUSTOMER
PROFILE



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② Value Proposition

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NETFLIX Uber     Spotify

HP – Workstations	Apple – iPhone	Chosen Company
• Innovation • Performance • Reliability • Price		

③ Channel

VPs are **delivered** to CSs through **communication, distribution** and **sales channels**

How do our customers want to be reached, i.e. where and how do they want to buy?

Five Distinct Channel Phases

3 Channel

VPs are **delivered** to CSs through **communication, distribution** and **sales channels**

How do our customers want to be reached, i.e. where and how do they want to buy?

Five Distinct Channel Phases



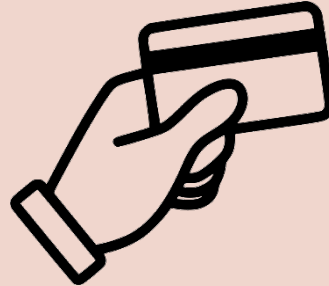
1. Awareness

How do we raise aware-ness about our company's products and services?



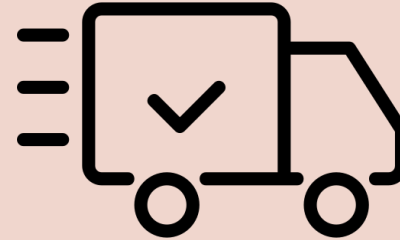
2. Evaluation

How do we help customers evaluate our Value Proposition?



3. Purchase

How do we allow customers to purchase specific products and services?



4. Delivery

How do we deliver our Value Proposition to customers?



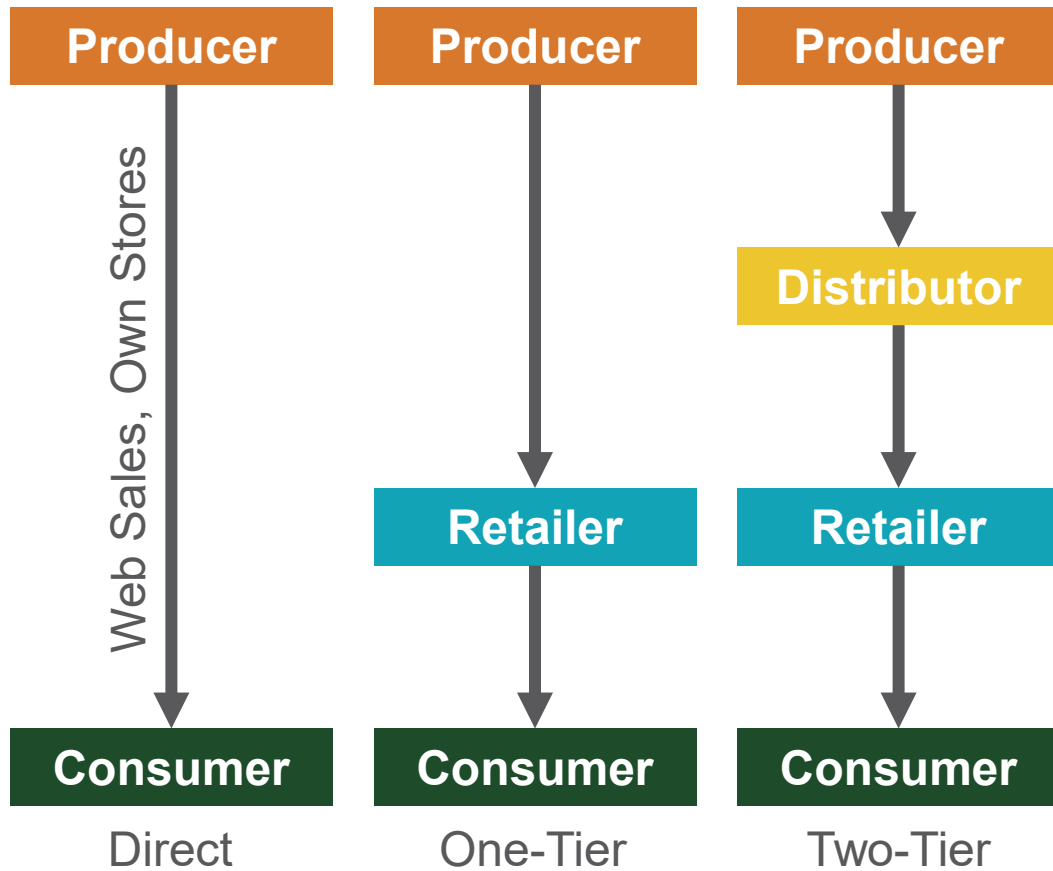
5. Post Sales

How do we provide post- purchase customer service and support?

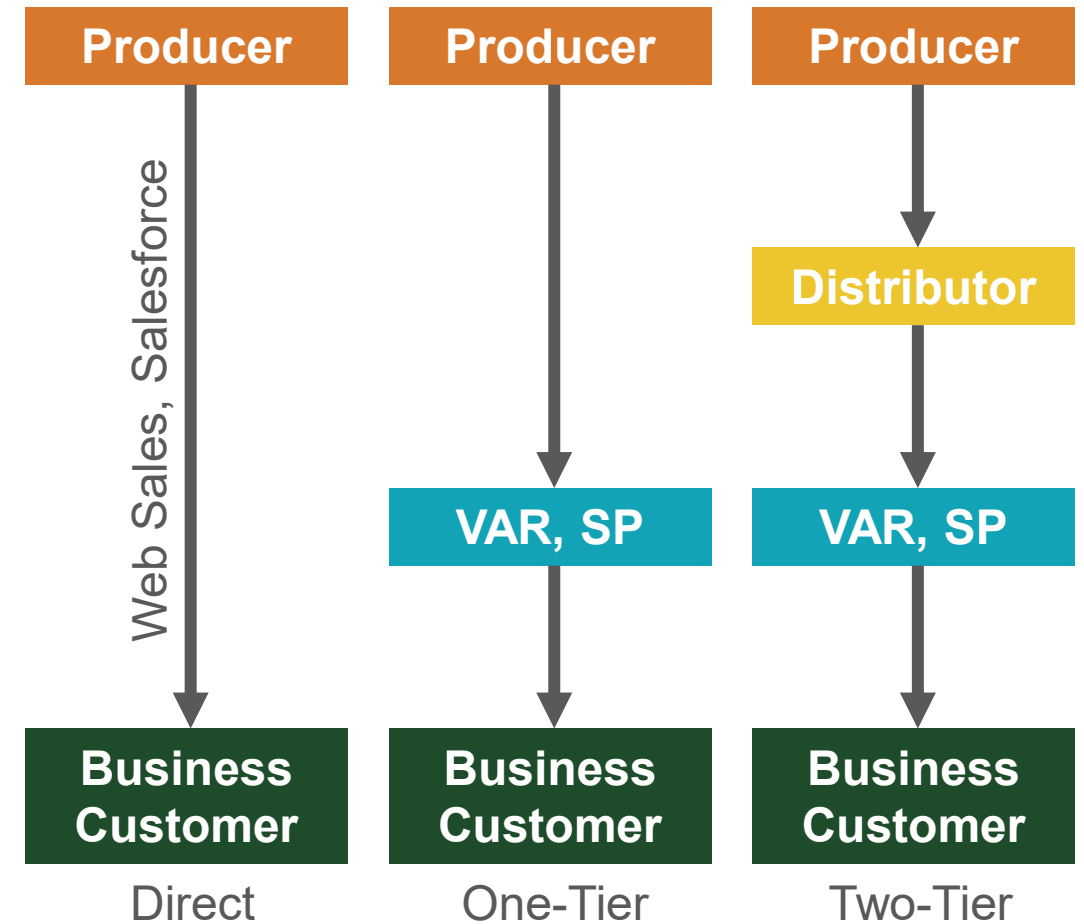


3 Channel

Consumer Market (B2C)



Commercial Market (B2B)



What are some advantages, disadvantages of each type of channel?

③ Channel

PRACTICE



HP – Workstations	Apple – iPhone	Chosen Company
• Direct Sales Force • Distributors • VARs • OEMs • Retail		

4 Customer Relationships

Types of **Relationships established and maintained** with specific customer segments

What kind of relationship does our customer want and expect us to have with them?

Factors to Consider

- Type of interaction:
 - personal & high-touch vs. automated & self-service (or a mix across segments)
- Purpose the relationship serves:
 - acquiring new customers,
 - retaining existing ones, or
 - growing revenue per customer
- Fit with the Value Proposition: the relationship must deliver on what you promised
- Cost vs. impact trade-off: high-touch builds loyalty but is expensive to deliver at scale
- Consistency across the journey: before, during, and after the purchase

4 Customer Relationships

There are several Types of Customer Relationships, all designed to connect and create loyalty with customers.

Some examples, they can exist independently but often co-exist together:

Personal Assistance

Human interaction
(front-desk staff helping a guest)

Dedicated Assistance

One-on-one relationship
(a corporate account manager)

Communities

Customers help each other
(traveler review & Q&A forums)

Co-Creation

Customers add value
(reviews that shape future offerings, YouTube creators)

Automated Services

Smart self-service
(an app that remembers preferences)

Self Service

No direct interaction
(self-service kiosk check-in)

How and where would a customer loyalty program fit?

4 Customer Relationships

PRACTICE



HP – Workstations	Apple – iPhone	Chosen Company
Customer Acquisition and Retention • Dedicated account management • Live customer support • Customer advisory councils • Self-service support/help		

5 Revenue Streams

Cash generated from **successfully offering/delivering** VP to customer segments

For what Value are our customers really willing to pay?

How will they pay?

Two different types of Revenue Streams:

1. Transaction revenues:

- One-time customer payments

2. Recurring revenues:

- Ongoing, periodic payments

• In what ways can a company generate Revenue Streams?

- Asset Sale
- Service Fees
- Usage Fees
- Subscription Fees
- Renting/Leasing
- Licensing
- Brokerage Fees
- Advertising
- Grants/Donations
- Freemium → Paid Upgrades



5 Revenue Streams

Two Pricing Mechanisms

Fixed Pricing

Predefined prices are based on static variables

- List Price
- Product Feature Dependent
- Customer Segment Dependent
- Volume Dependent

Dynamic Pricing

Prices change based on market conditions

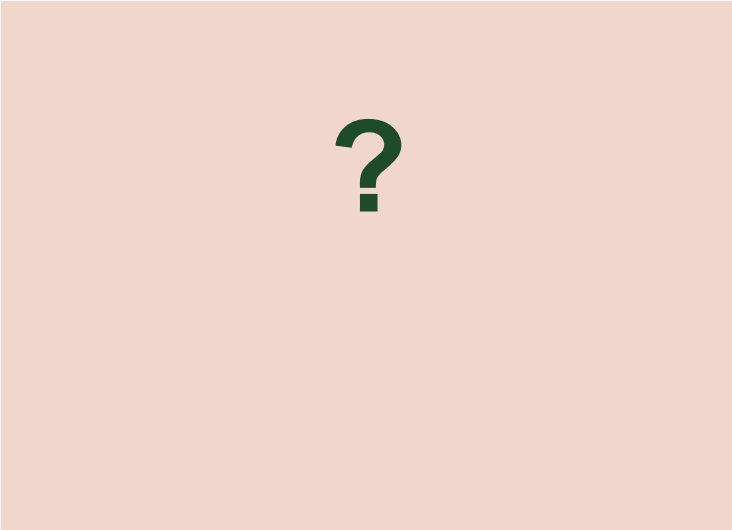
- Negotiation (bargaining)
- Yield Management
- Real-Time Market
- Auctions



5 Revenue Streams

PRACTICE



HP – Workstations	Apple – iPhone	Chosen Company
Asset Sale Pricing: • List price • Product feature dependent • Volume dependent • Negotiation • Auctions		

6 Key Resources

Assets required to make the business model work

What Key Resources does the creation and delivery of our Value Proposition require?

- The type of key resource depends upon the business model.

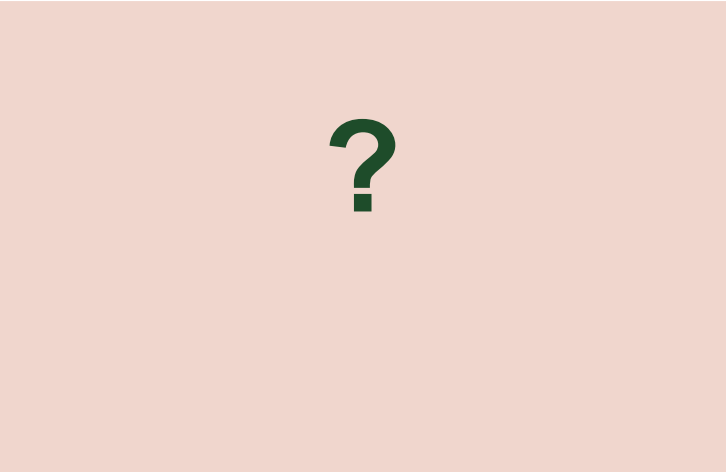
Examples

General Categories for Key Resources			
Physical	Intellectual	Human	Financial
• Factories • Equipment • Vehicles • Systems • POS Systems • Distribution Networks	• Brands • Proprietary knowledge • Patents • Copyrights • Partnerships • Customer databases	• Employees • Contractors • Consultants • Creativity • Labor • Expertise	• Cash • Investments • Credit • Stock

⑥ Key Resources

PRACTICE



HP – Workstations	Apple – iPhone	Chosen Company
• Brand • Engineers • Marketers • Salesforce • Patents • Customer database		

7 Key Activities

Things a company **must do** to make the business model work

- What Key Activities does the creation and delivery of our Value Proposition require?

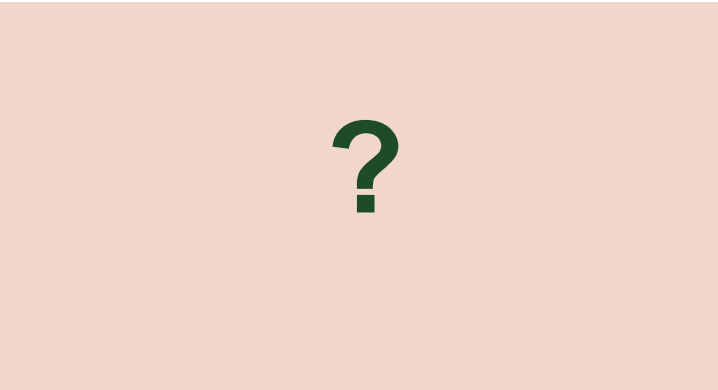
General Categories for Key Activities

R&D / Design	Production	Marketing/Sales	Problem Solving	Platform/Network
• New product research • New product development • Product updates • Quality assurance • New innovation	• Final design selection • Sourcing strategy (process, capacity) • Production planning/control • Quality control • Inventory mgmt.	• Strategy • Communication • Events • Lead generation • Sale funnel • Conversion • Account management	• Customer service • Process improvement • Voice of customer • Quality response • Training • Knowledge management	• Technical support • Software development • IT hardware strategy and maintenance • Platform management • Service provisioning

7 Key Activities

PRACTICE



HP – Workstations	Apple – iPhone	Chosen Company
• Research • Hardware design • Performance optimization • Product marketing • Quality management		



8 Key Partnerships

Network of suppliers/partners where activities are **outsourced**, or resources are acquired **outside the enterprise**

- Who are our Key Partners?
- Who are our Key Suppliers?
- Which Key Resources are we acquiring from partners?
- What Key Activities do partners perform?

Typical Motivations for Developing Key Partnerships

Optimization and economy
of scale

Reduction of risk and
uncertainty

Acquisition of particular
resources and activities

Four Typical Types of Key Partnerships

Strategic alliances
between non-
competitors

Co-opetition: strategic
partnerships between
competitors

Joint ventures focused
on new development

Buyer-supplier
relationships to assure
reliable supplies



⑧ Key Partnerships

PRACTICE



HP – Workstations	Apple – iPhone	Chosen Company
• Microsoft • Intel • NVIDIA / AMD • OEM's (Original Equipment Manufacturer) • ISV's (Independent Software Vendors, Ex: Autodesk) • Design Firms		

9 Cost Structure

Costs incurred to operate the business model

- What are the most important costs in our business model?
- Which Key Resources are most expensive?
- Which Key Activities are most expensive?
- What is the primary goal around cost structure?



Common Cost Structure Characteristics

Fixed Costs	Variable Costs	Economies of Scale	Economies of Scope
Costs that remain the same regardless of volume (marketing, salaries, rents)	Costs that vary proportionally with volume produced (production costs)	Cost advantages that come with larger production	Cost advantages that come with a larger scope of operations

9 Cost Structure

Costs incurred to operate the business model

PRACTICE

NETFLIX Uber     Spotify

HP – Workstations	Apple – iPhone	Chosen Company
• People / Salaries • R&D Costs • Manufacturing • Marketing and Sales		

Business Model Canvas – 9 Building Blocks

<i>Key Partnerships</i>	<i>Key Activities</i>	<i>Value Propositions</i>	<i>Customer Relationships</i>	<i>Customer Segments</i>
	<i>Key Resources</i>		<i>Channels</i>	
<i>Cost Structure</i>			<i>Revenue Streams</i>	

Business Model Canvas – HP Workstations

Key Partnerships • Microsoft • Intel • NVIDIA • AMD • OEM’s (Original Equipment Manufacturer) • ISV’s (Independent Software Vendors) • Design Firms	Key Activities • Research • Hardware design • Perf optimization • Product marketing • Quality management	Value Propositions • Innovation • Performance • Reliability	Customer Relationships Retention+Acquisition • Acct management • Live cust support • Customer Advisory	Customer Segments Segmented: • MCAD/ Engineering • Digital Media and Entertainment • Financial • OEM (Healthcare)
Key Resources • Brand • Engineers • Marketers • Salesforce • Patents • Customer database			Channels • Direct Sales Force • Distributors • VARs • OEMs	
Cost Structure • People / Salaries • R&D Costs • Manufacturing • Marketing and Sales			Revenue Streams Asset Sale: Hardware Revenue	Pricing: • List price • Product feature dependent • Volume dependent • Negotiation • Auctions

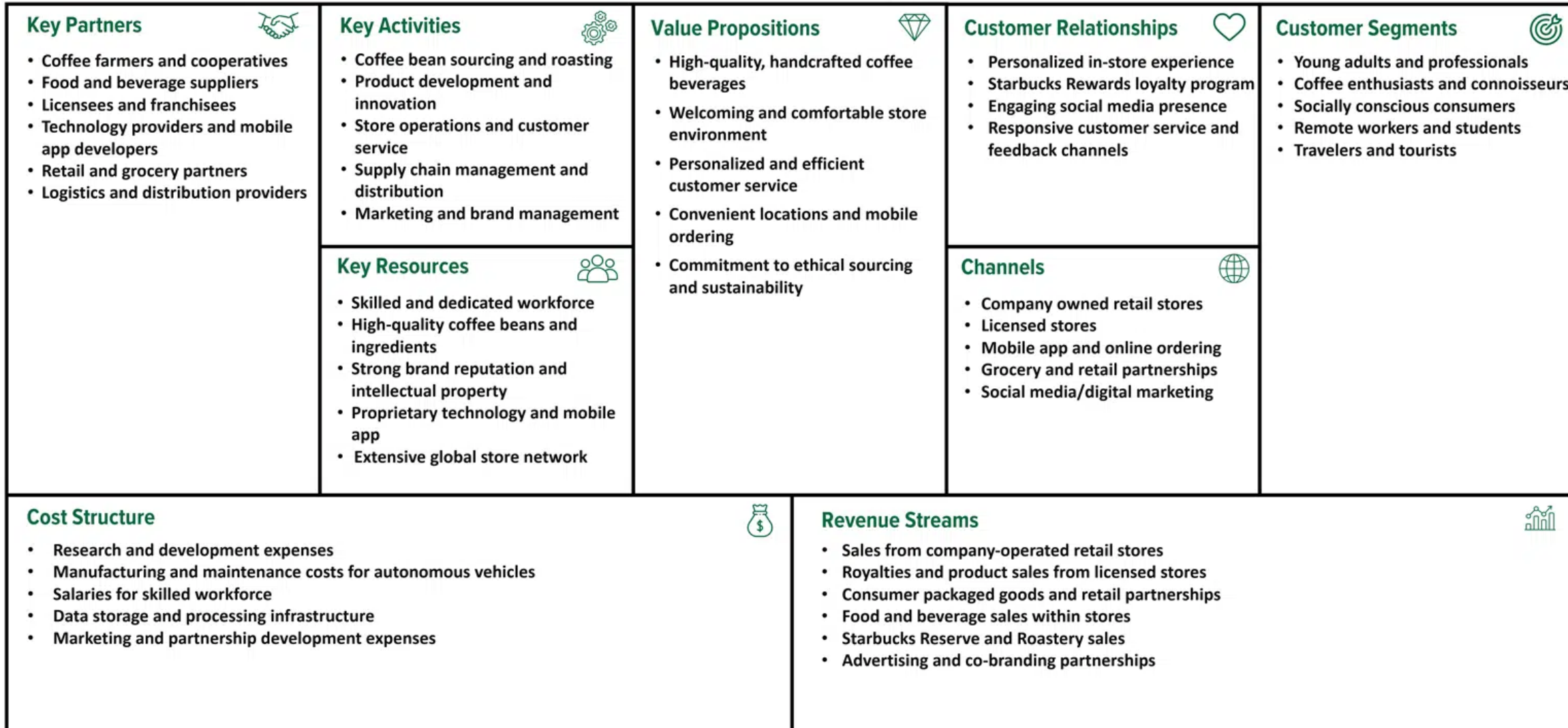


Business Model Canvas – Apple iPhone

Key Partnerships - Record companies - App developers - OEMs - Carriers - Foxconn	Key Activities - Hardware design - Software platform - Marketing - User testing Key Resources - Apple brand - iPhone hardware - iTunes software - App store - Content agreements	Value Propositions - Seamless Experience (Phone/ Music/ Web/ Apps) - Convenience - Design - Quality - Brand	Customer Relationships Retention oriented - Love Brand - Self-service - Automated services - Personal assist. Channels - Retail stores - Carriers - Apple.com - Apple stores	Customer Segments Mass Market
Cost Structure - People (designers, hardware/software developers) - Manufacturing - Marketing & Sales		Revenue Streams - Large hardware revenues - Some music/app revenues - Pricing: Asset Sale, Subscription Fees		



Business Model Canvas - Starbucks



Business Model Canvas - Netflix

NETFLIX

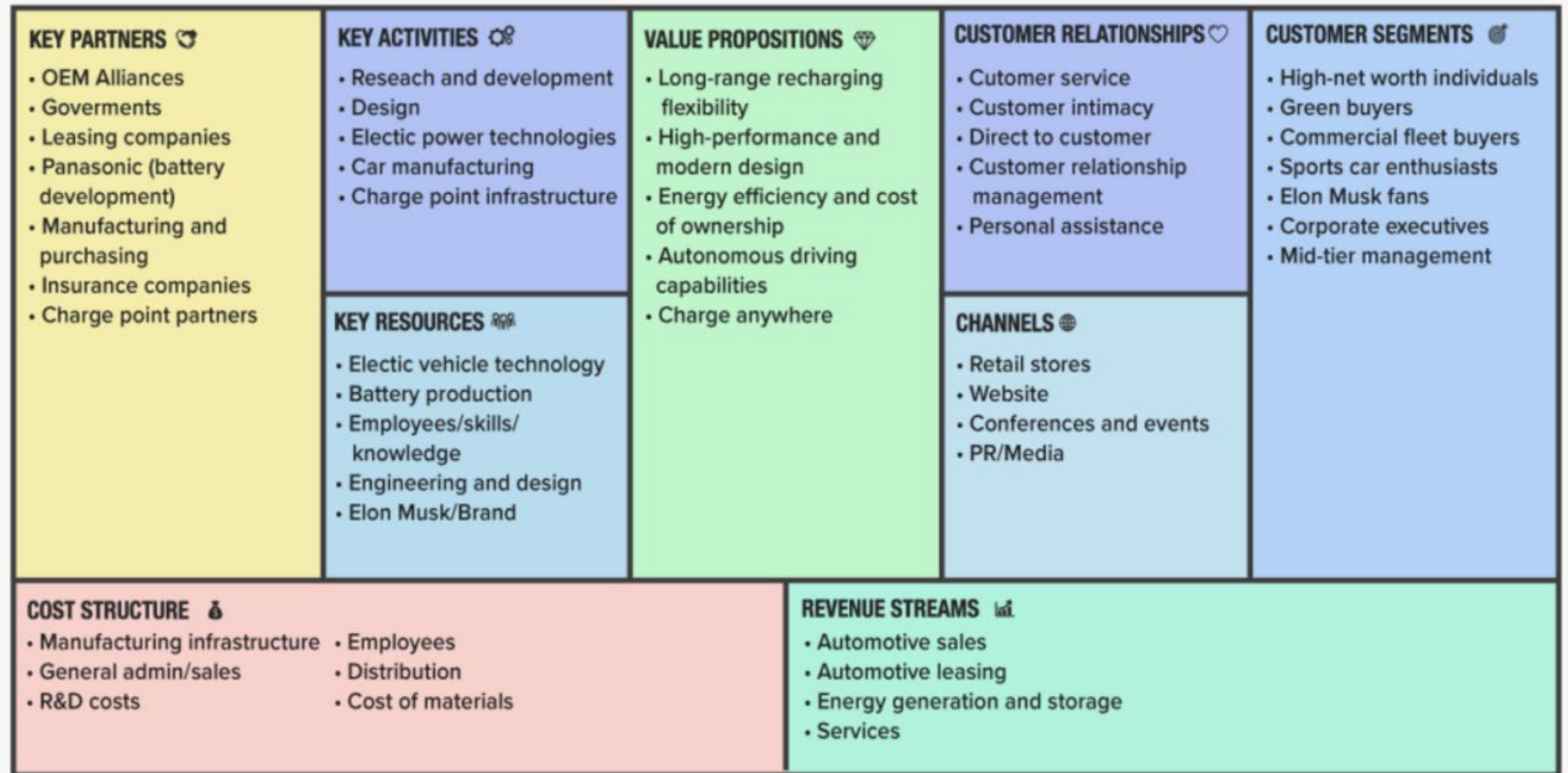
KEY PARTNERS - Investors - Media Producers - Film Maker Guilds - Cinemas, Theaters - TV Networks - Amazon AWS - Consumer Electronic Companies - Regulators	KEY ACTIVITIES - Technology R&D - Content licensing - Content production - Content distribution - Data anlytics - Sales and marketing	VALUE PROPOSITIONS 24/7 On Demand Entertainment - View high-definition shows and movies - Stream content - Unlimited access - Netflix Orginal 30 Day free trial - No commercials	CUSTOMER RELATIONSHIPS - Self service - On-demand - Ease of use	CUSTOMER SEGMENTS - Micro-segmentation 2000 preference clusters - Usage - usage segmentation - Geographical - content/languages
KEY RESOURCES - Brand - Apps/website - Platform - Employees - Film Makers/Producers - Prizes/Awards		CHANNELS - Any Device - Netflix App - Online advertising - Offline advertising - Social Media		
COST STRUCTURE - Production - Research and Development - Licensing - Infrastructure - AWS - Marketing - Payment Processing Fees - General/Admin			REVENUE STREAMS - Subscription Model - Product Placement - DVD Rental - Future Model - licensing Netflix owned content	

Business Model Canvas - Uber

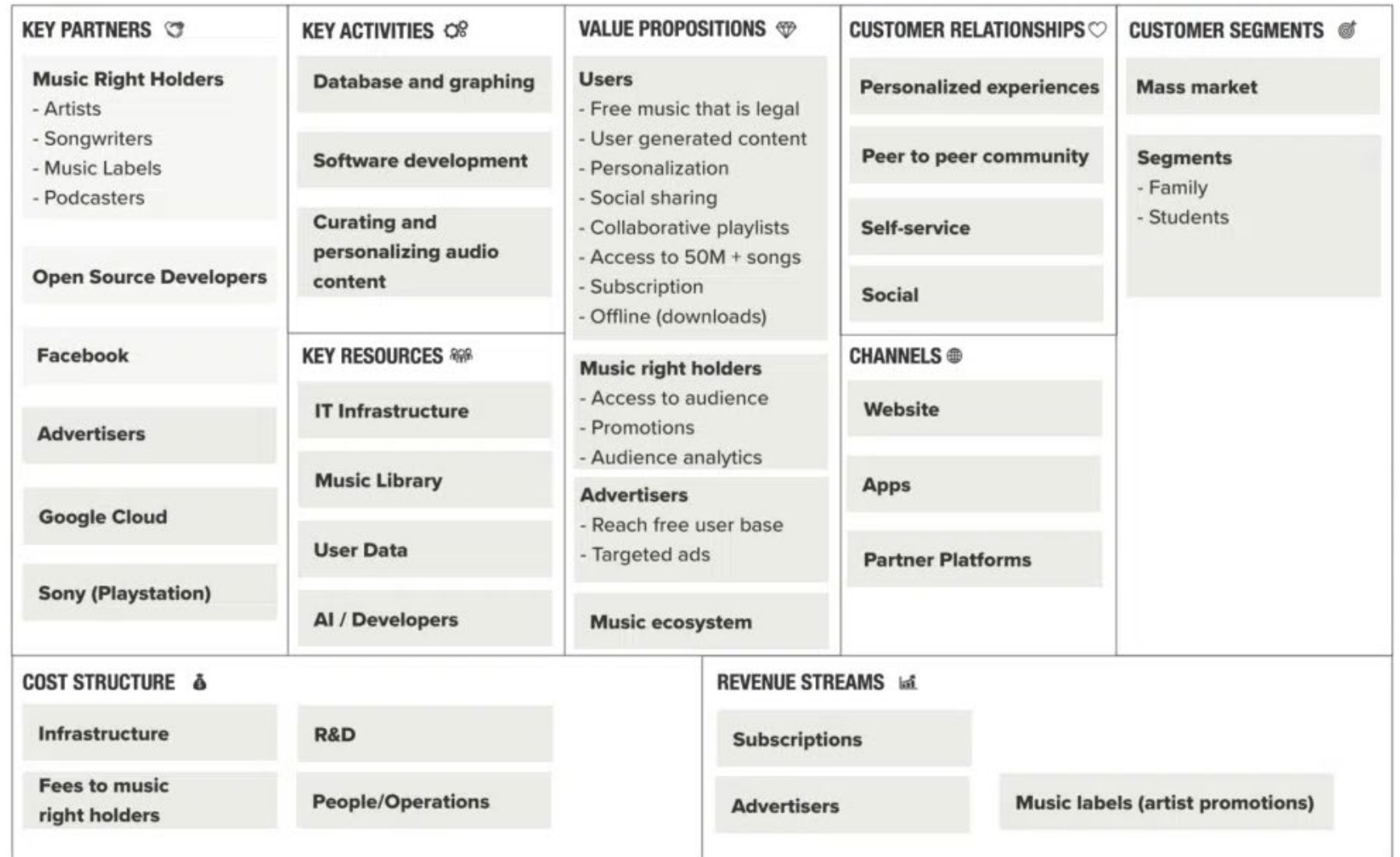
Uber

KEY PARTNERS  • Investors/VC's • Google Maps, Google Cloud • Amazon AWS • Technology Partners • Research partners • Hire car partners • Insurance partners • Drivers • Lobbyists	KEY ACTIVITIES  • Enhance network effects • Recruit and retain platform participants • Refine value propositions • Improve technology • Expand geographically • Expand into adjacent markets	VALUE PROPOSITIONS  For the passenger • On-demand ride bookings (Convenient) • Real-time tracking • Accurate ETAs • Cashless rides • Low wait time for a ride For the driver • Income • Ease of joining • Flexible schedule • Ease of getting customers • Online payment • Training sessions • Lower idle time	CUSTOMER RELATIONSHIPS  • Self service • On-demand • Ease of use • Safe, secure, fair • Responsive • Transparent/Ratings • Regulator meetings	CUSTOMER SEGMENTS  Passengers - based on drive experience. People who : • do not own car • travel for business • want an economic ride • want luxurious experience • convenient services Drivers • Part-time drivers • Full-time drivers • Commercial drivers • Private drivers
COST STRUCTURE  • Salaries to employees • Driver payments • Technology development • Marketing • Legal activities • Vehicles e.g. Scooters		REVENUE STREAMS  • Commission per ride • Surge pricing • Premium pricing • Cancellation fees • Shipping commission • Brand partnerships		

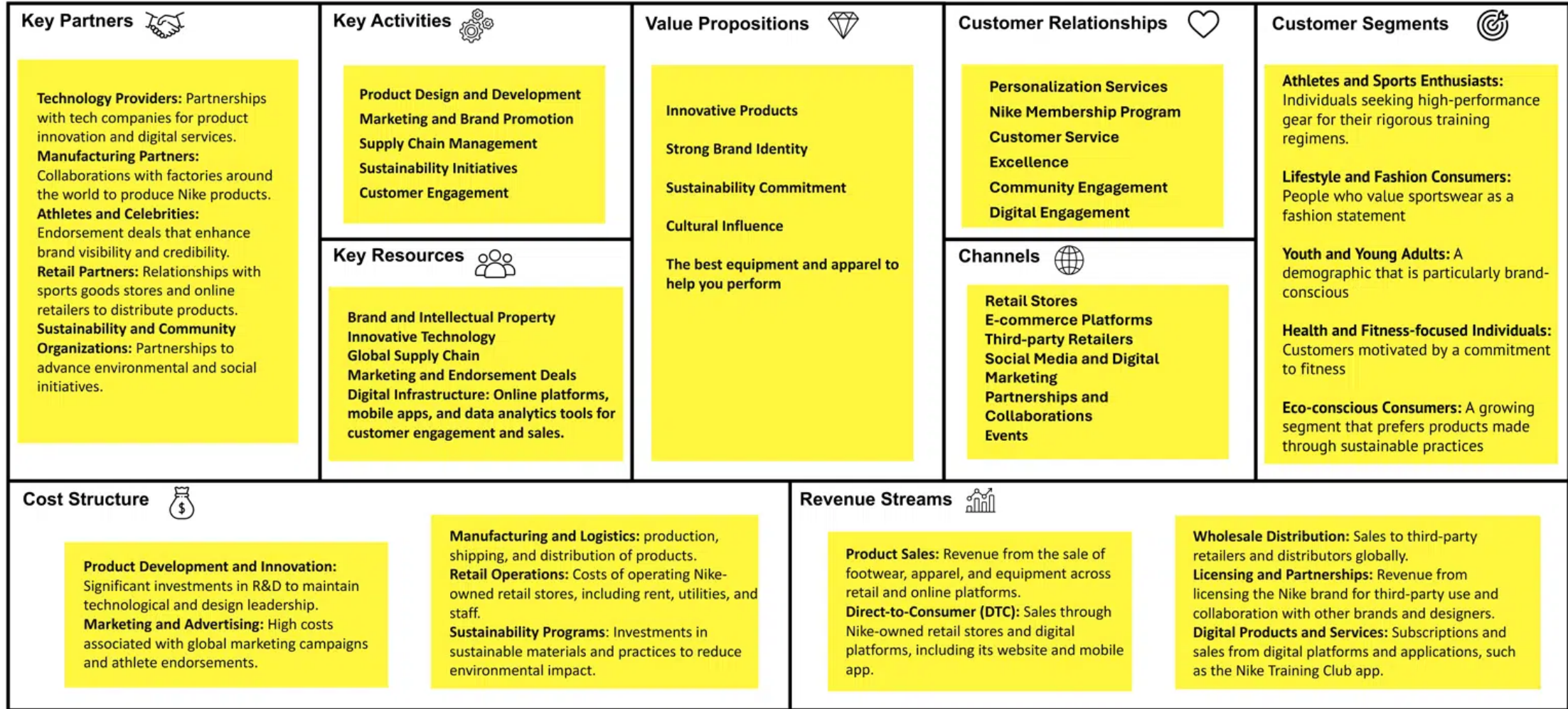
Business Model Canvas - Tesla



Business Model Canvas - Spotify



Business Model Canvas - Nike



Business Model Canvas – Hotel (Service Org)

Business Model Canvas				
The Wayfarer Hotel · fictitious example, boutique & business-travel hotel				
SERVICES INDUSTRY EXAMPLE BUS500 · Foundations for Business Impact				
KEY PARTNERSHIPS - Online travel agencies (Expedia, Booking.com) - Franchise / brand affiliation licensor - Local tour operators & attractions - Food, beverage & linen suppliers - Event planners & corporate travel accounts - Airport shuttle & ground transport partners	KEY ACTIVITIES - Reservations & front-desk operations - Housekeeping & guest services - Food & beverage service - Sales, marketing & revenue management	VALUE PROPOSITIONS A dependable, welcoming stay — wherever the trip takes you. Consistent comfort: clean, reliable rooms & service every visit Convenience: central location near business district / airport Personal touch: attentive staff, loyalty perks & local knowledge Flexible spaces: meeting & event rooms for business and social use Peace of mind: transparent pricing, easy cancellation, 24/7 support	CUSTOMER RELATIONSHIPS - Personal check-in & concierge service - Loyalty / rewards program - Post-stay follow-up & review requests	CUSTOMER SEGMENTS Business travelers — mid-week, expense-account stays Leisure & vacation travelers — weekend, family and couples Event & wedding groups — block bookings, catering Extended-stay guests — relocation, project-based work
	KEY RESOURCES - Physical property, rooms & event space - Trained hospitality staff - Brand reputation & guest reviews - Reservation / property mgmt. system (PMS)		CHANNELS - Hotel website & direct booking app - Online travel agencies & travel agents - Self-service kiosks / mobile check-in	
COST STRUCTURE - Staff wages & benefits (largest cost — labor-intensive service delivery) - Property lease/mortgage, utilities & maintenance - Marketing & OTA commissions - Franchise / brand fees & supplies		REVENUE STREAMS - Room bookings (rate varies by season, day, occupancy — yield management) - Food & beverage sales - Event / meeting space rental; ancillary services (parking, spa, late checkout)		
Template based on Osterwalder & Pigneur's Business Model Canvas — 9 Building Blocks		Note for discussion: services businesses (unlike product companies) sell perishable inventory and are highly labor-intensive — see Key Activities & Cost Structure		

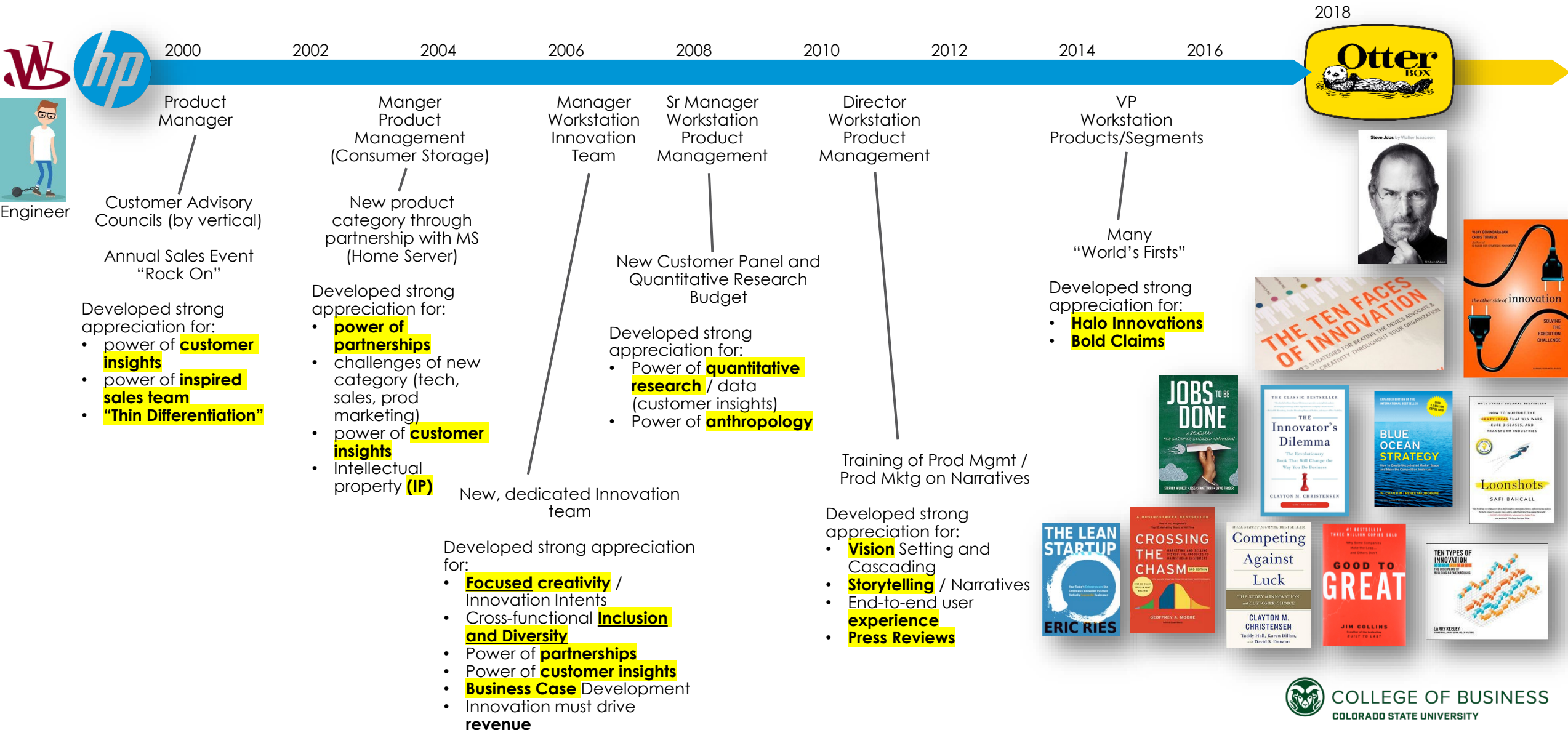
Innovation in Business

Fostering Innovation to Drive
Sustained Growth



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My Innovation Journey

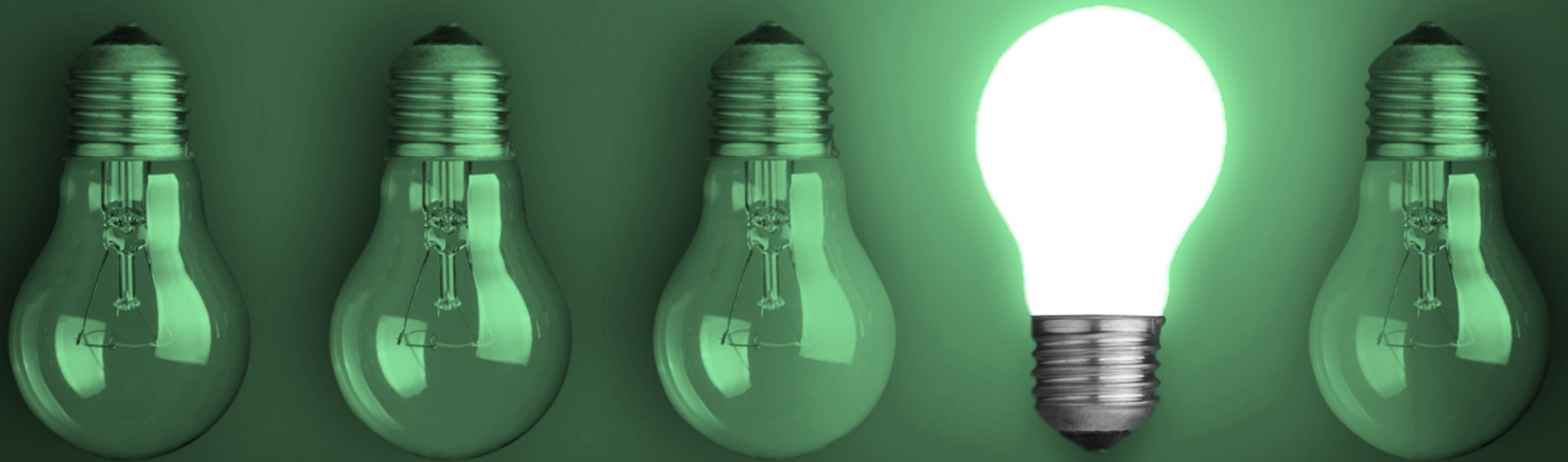




Innovation

...is the creation of a new, viable business offering. This is different from “invention” and the key word here is viable. Innovation must have a return on capital.

- Larry Keeley

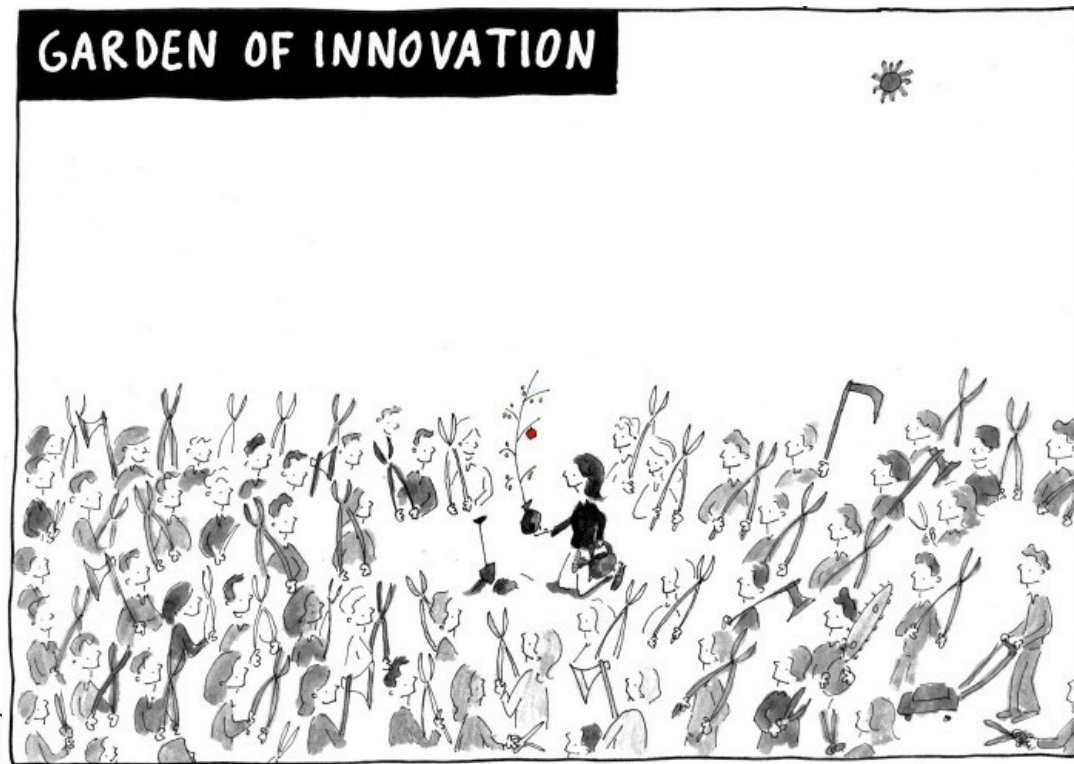


Warm Up Exercise...

- Take 4 minutes and answer these on your own:
 - Think of a company you believe has done a great job *innovating* in the last few years.
 - What company is it, and what did they actually change?
 - If a competitor tried to copy that change tomorrow, how hard would it be for them?



Innovation Inhibitors



"Og discovered fire, and Thorak invented the wheel. There's nothing left for us."



©marketoonist.com

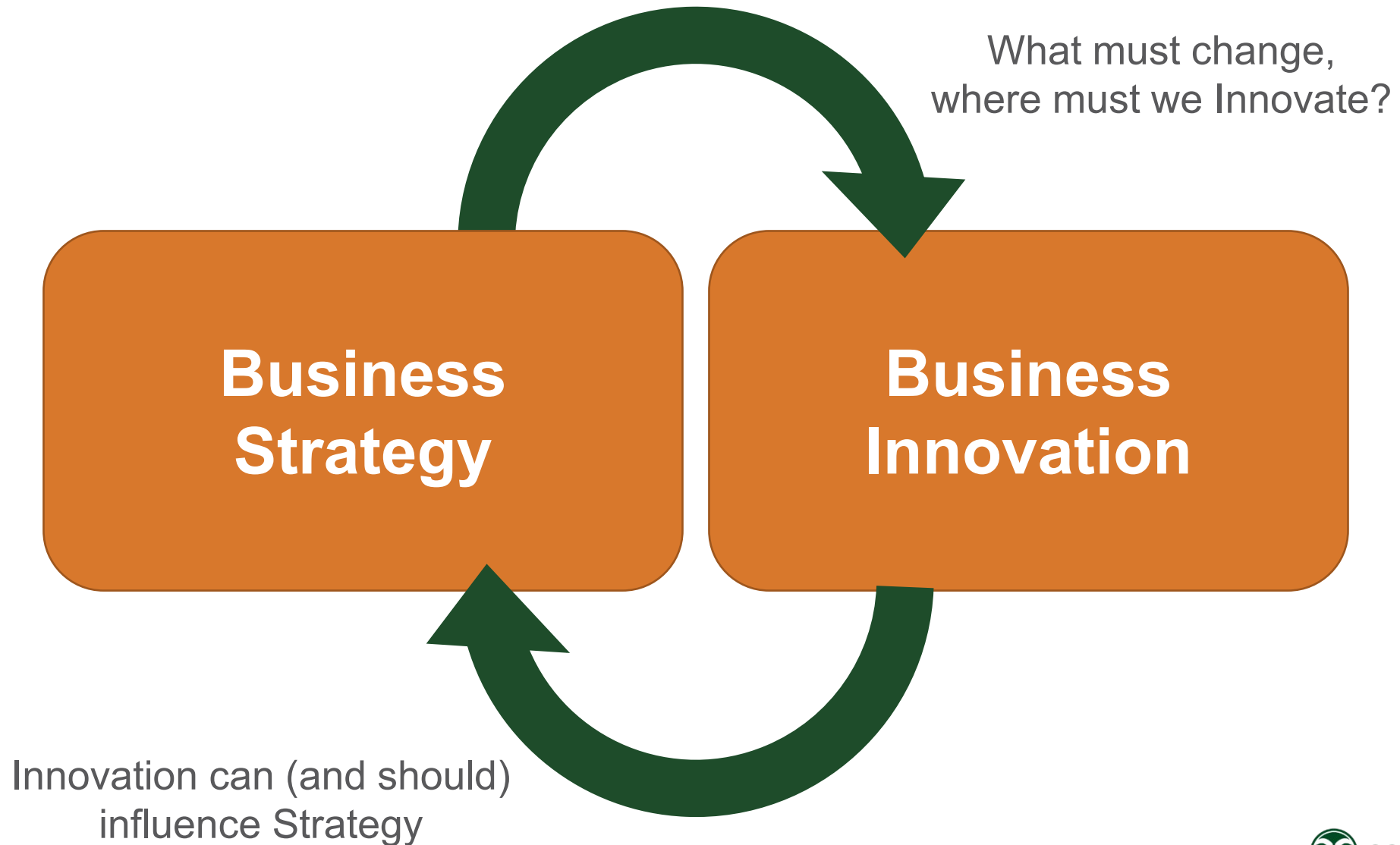


"Tell him we haven't got time for any of his bright ideas - we've got a battle on our hands"



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Tying Innovation to Strategy

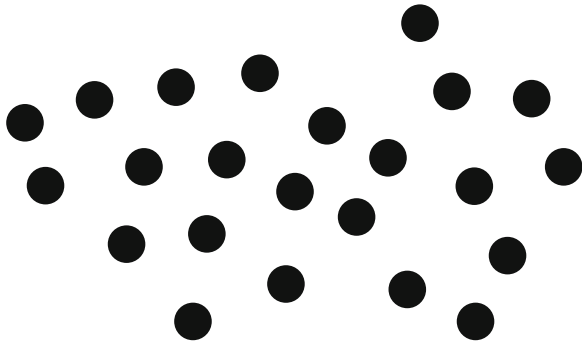


The Three Horizons Of Innovation: McKinsey

CORE.

HORIZON 1

Provide continuous innovation to a company's existing business model and core capabilities in the short-term.

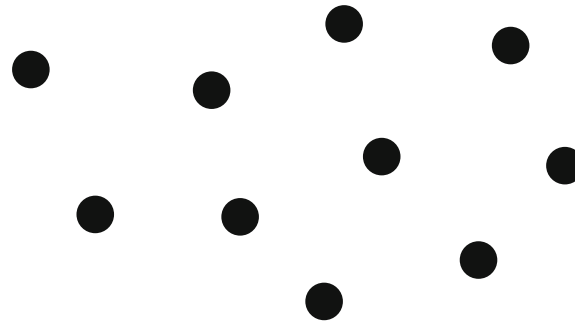


70%

GROWTH.

HORIZON 2

Extend a company's existing business model and core capabilities to new adjacencies, customers, markets, or targets.

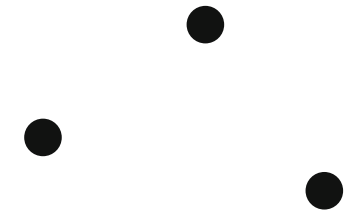


20%

FUTURE.

HORIZON 3

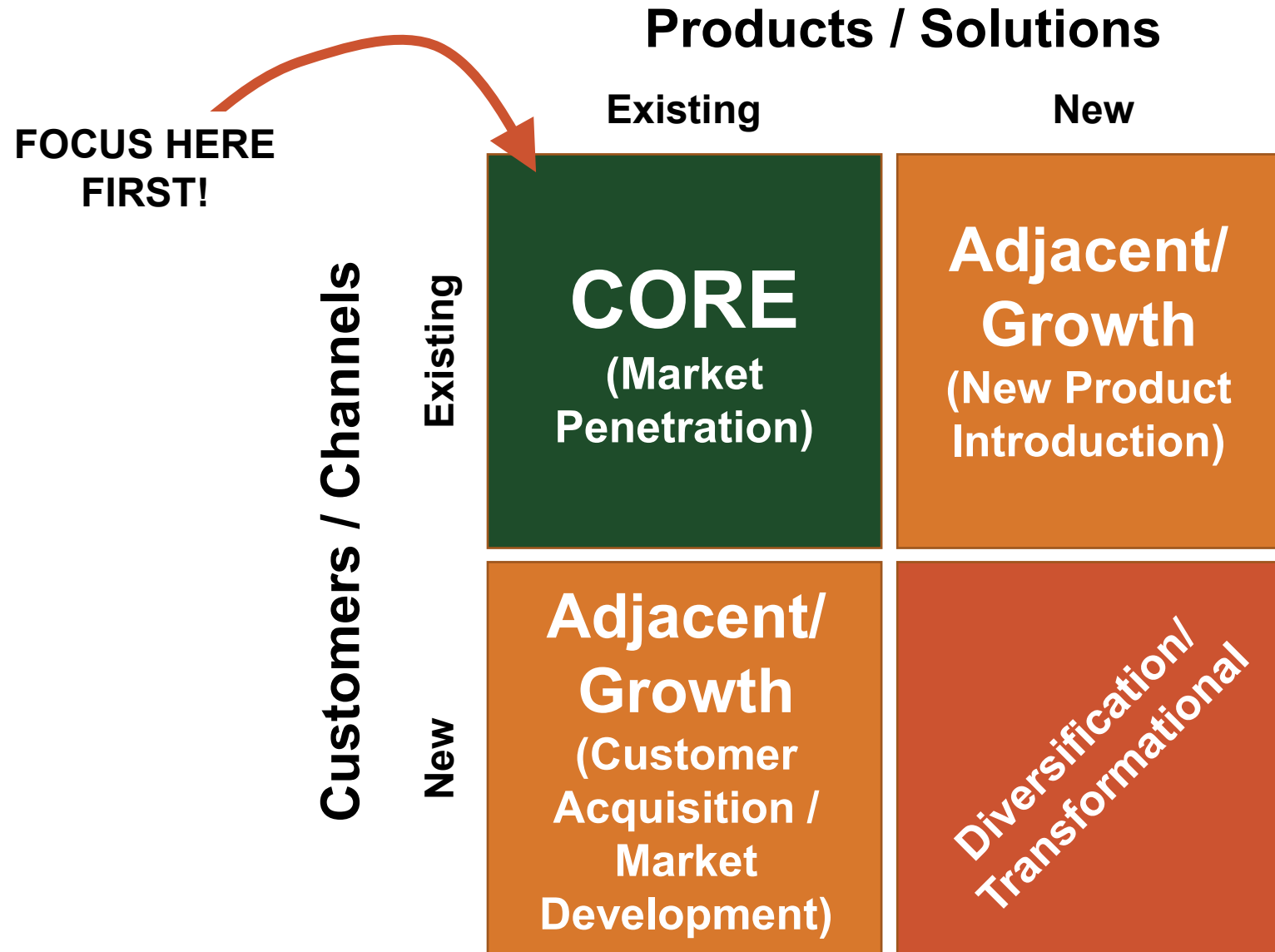
Creation of new capabilities and new business to take advantage of or respond to disruptive opportunities or to counter disruption.



10%

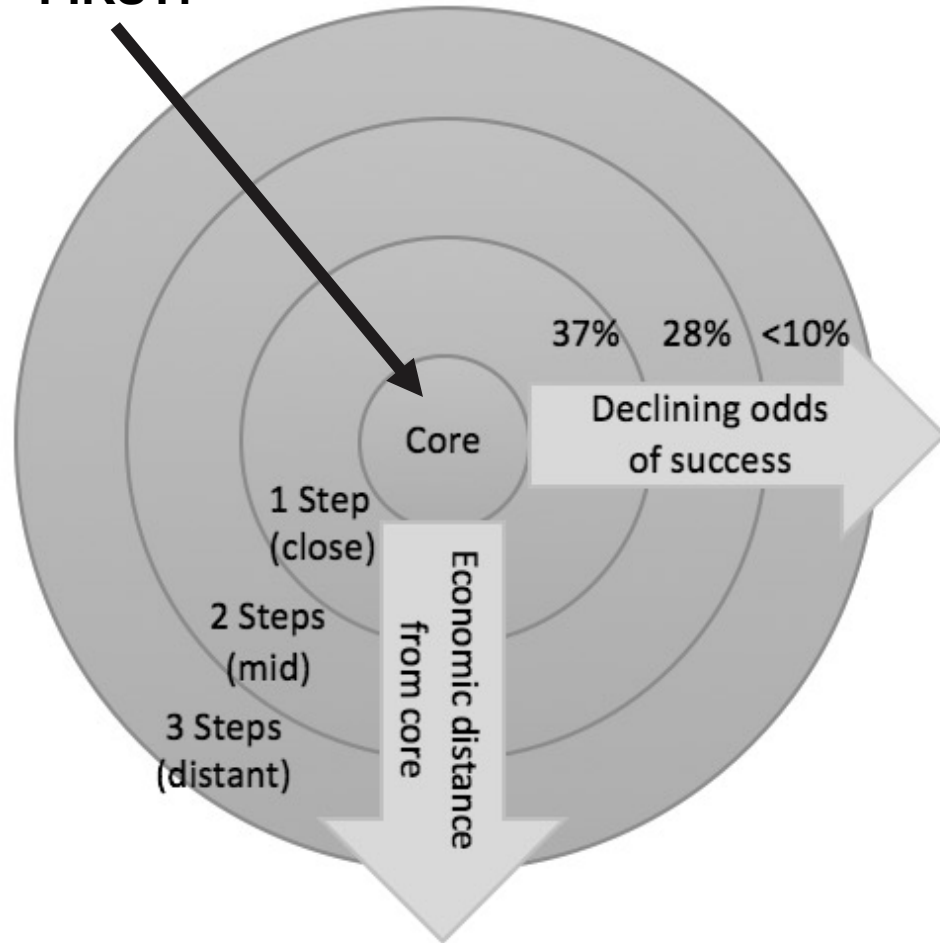


Business Growth Analysis - Ansoff Matrix



Understanding and Operating within Competencies

FOCUS HERE
FIRST!



CORE : RUNNING SHOES



REDEFINE CORE: ATHLETIC APPAREL
& EQUIPMENT...ONE SPORT AT A TIME



RUNNING » SHOES » APPAREL » EQUIPMENT



BASKETBALL » SHOES » APPAREL » EQUIPMENT



TENNIS » SHOES » APPAREL » EQUIPMENT



SOCCER » SHOES » APPAREL » EQUIPMENT



CROSS TRAIN » SHOES » APPAREL » EQUIPMENT



GOLF » SHOES » APPAREL » EQUIPMENT



CYCLING » SHOES » APPAREL » EQUIPMENT



CORE : AUTOMOTIVE TIRES



REDEFINE CORE:
'ENABLING TRANSPORTATION'



CONSTRUCTION AND OPERATION
OF OIL PIPELINE FROM
CALIFORNIA TO TEXAS



Just for fun...



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Blue Ocean Shift – What is BLUE OCEAN?

RED OCEAN STRATEGY



BLUE OCEAN STRATEGY

Compete in existing market space.

Create uncontested market space.

Beat the competition.

Make the competition irrelevant.

Exploit existing demand.

Create and capture new demand.

Make the value-cost trade-off.

Break the value-cost trade-off.

Align the whole system of a firm's activities with its strategic choice of differentiation OR low cost.

Align the whole system of a firm's activities in pursuit of differentiation AND low cost.



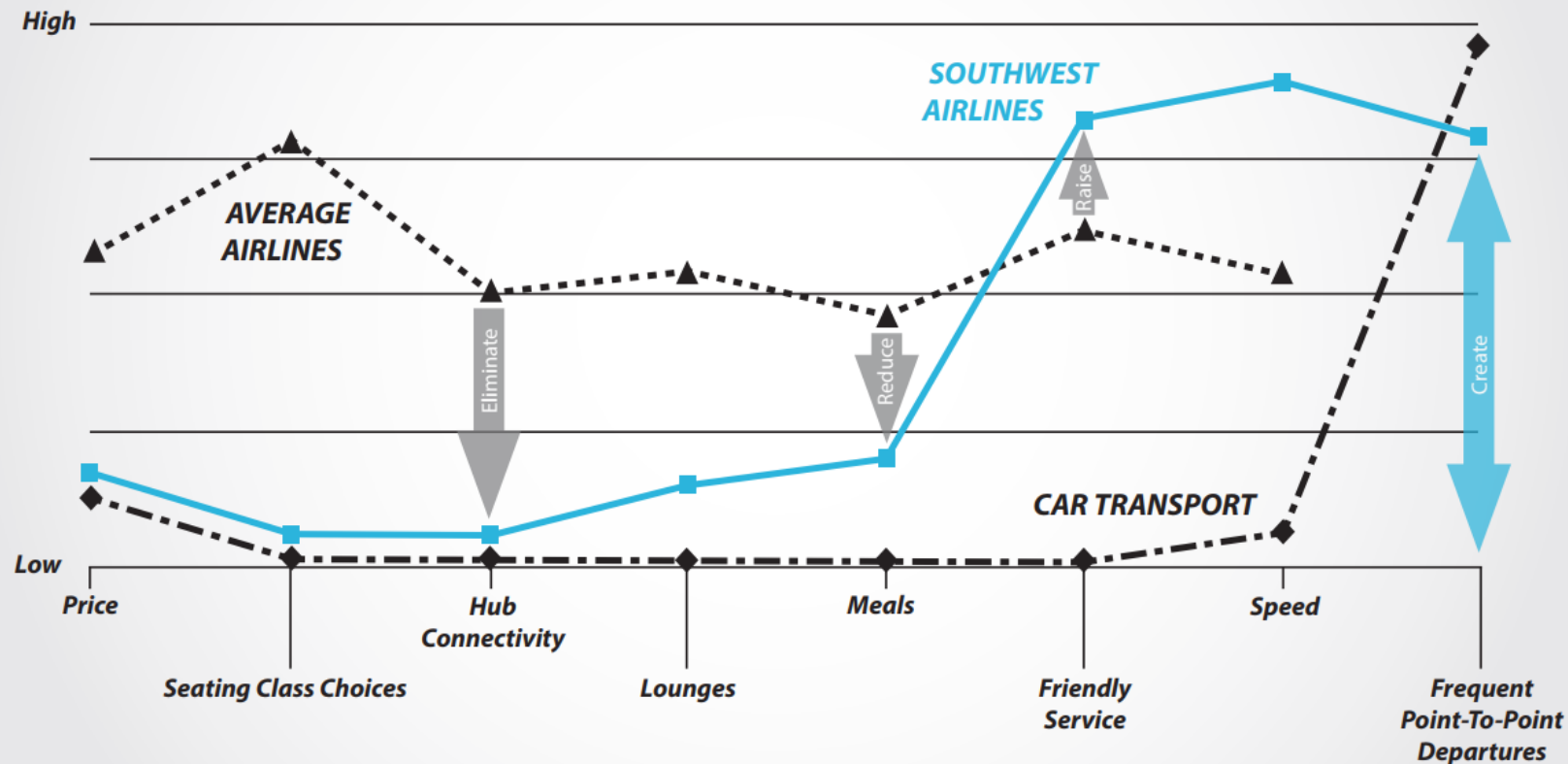
Blue Ocean Shift – Strategy Canvas

VALUE INNOVATION

EXAMPLE

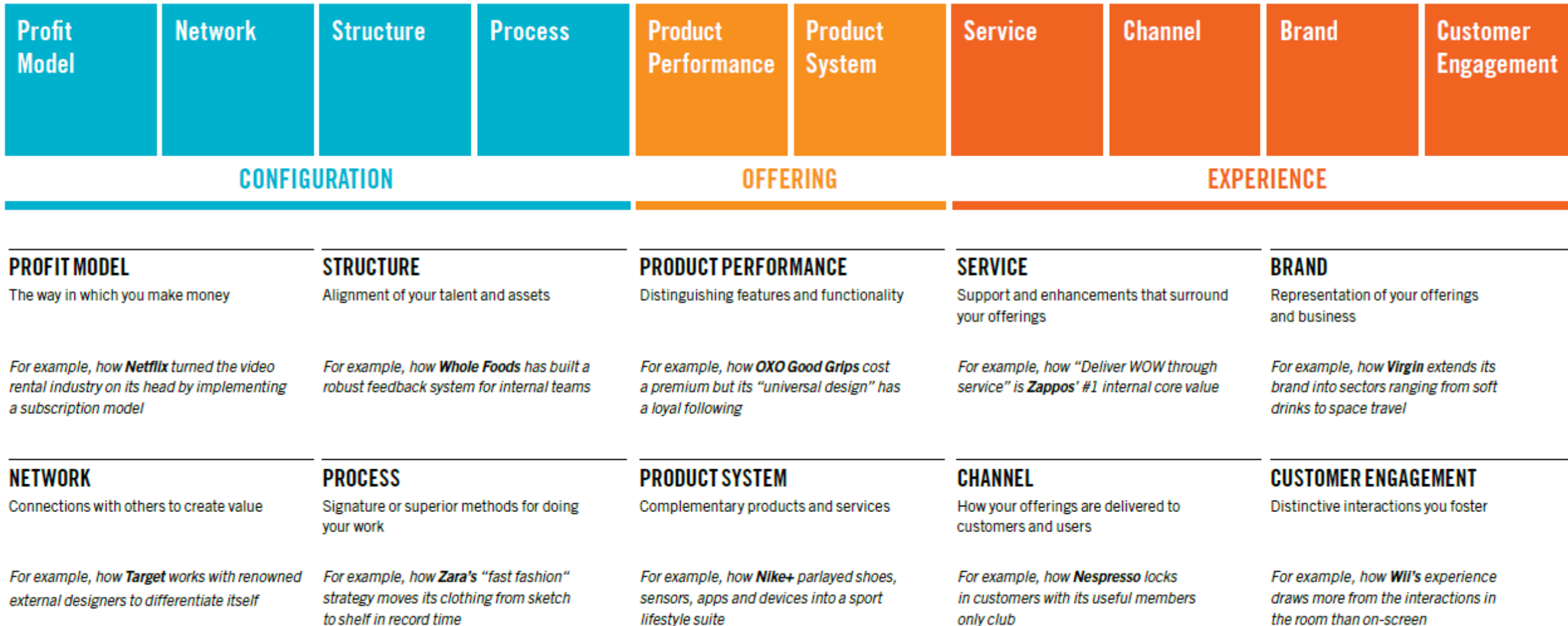
Create a leap in value for consumers and customers while simultaneously reducing cost.

THE STRATEGY CANVAS OF SOUTHWEST AIRLINES



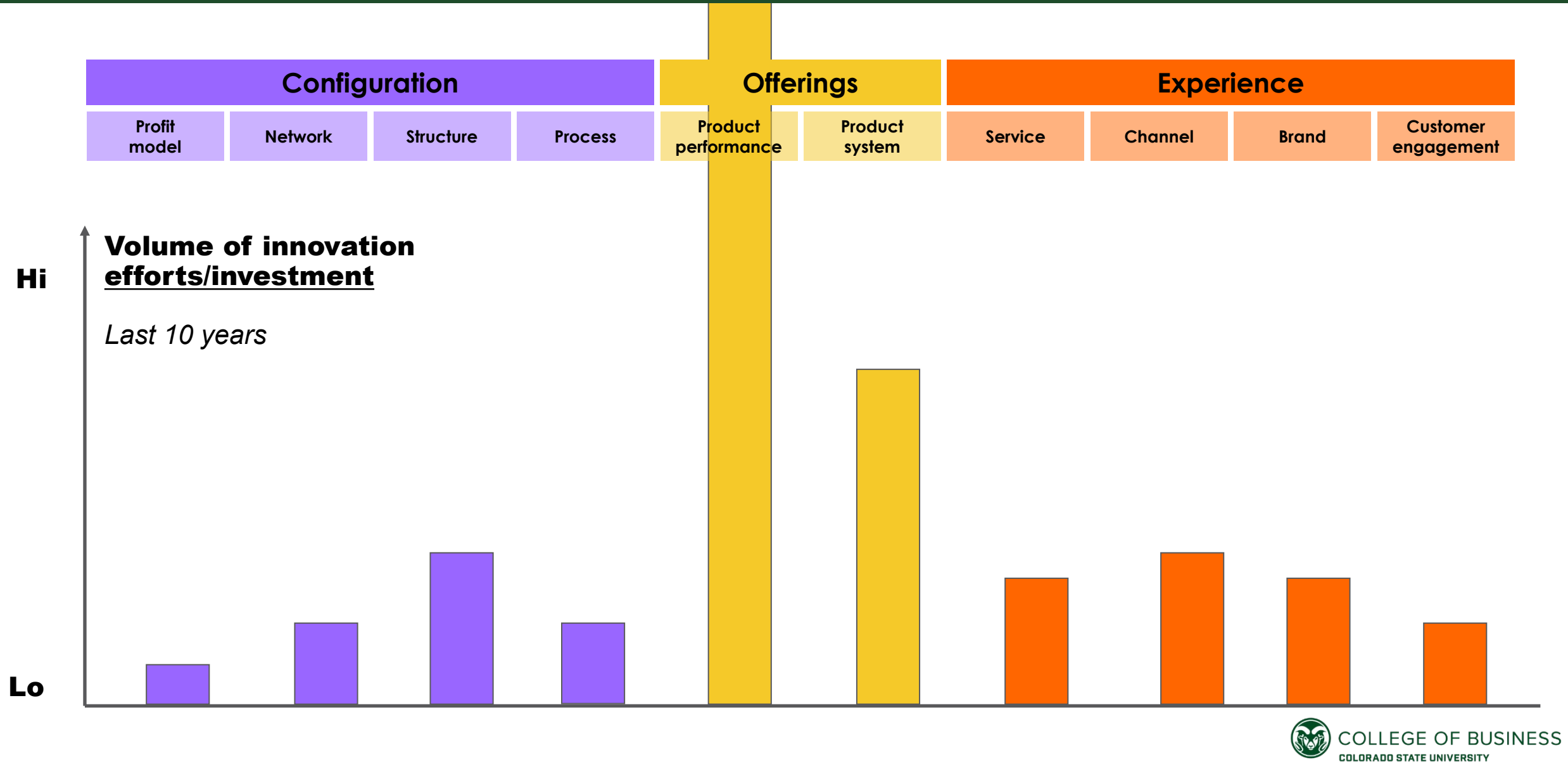
Ten Types of Innovation

By Doblin



Ten Types of Innovation

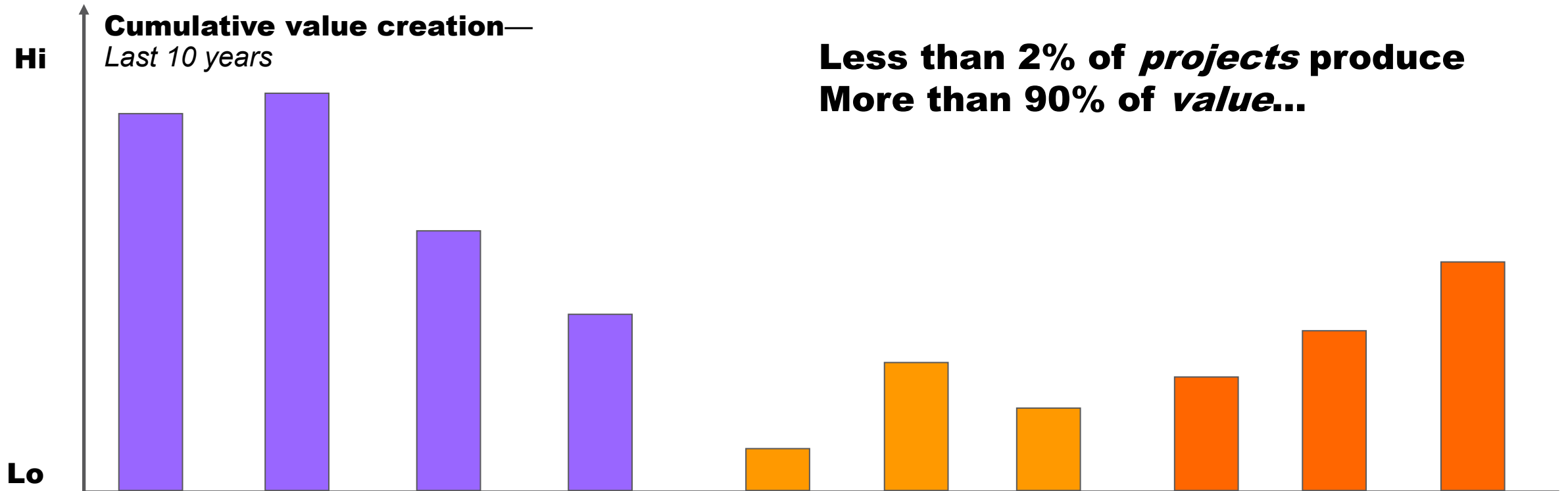
By Doblin



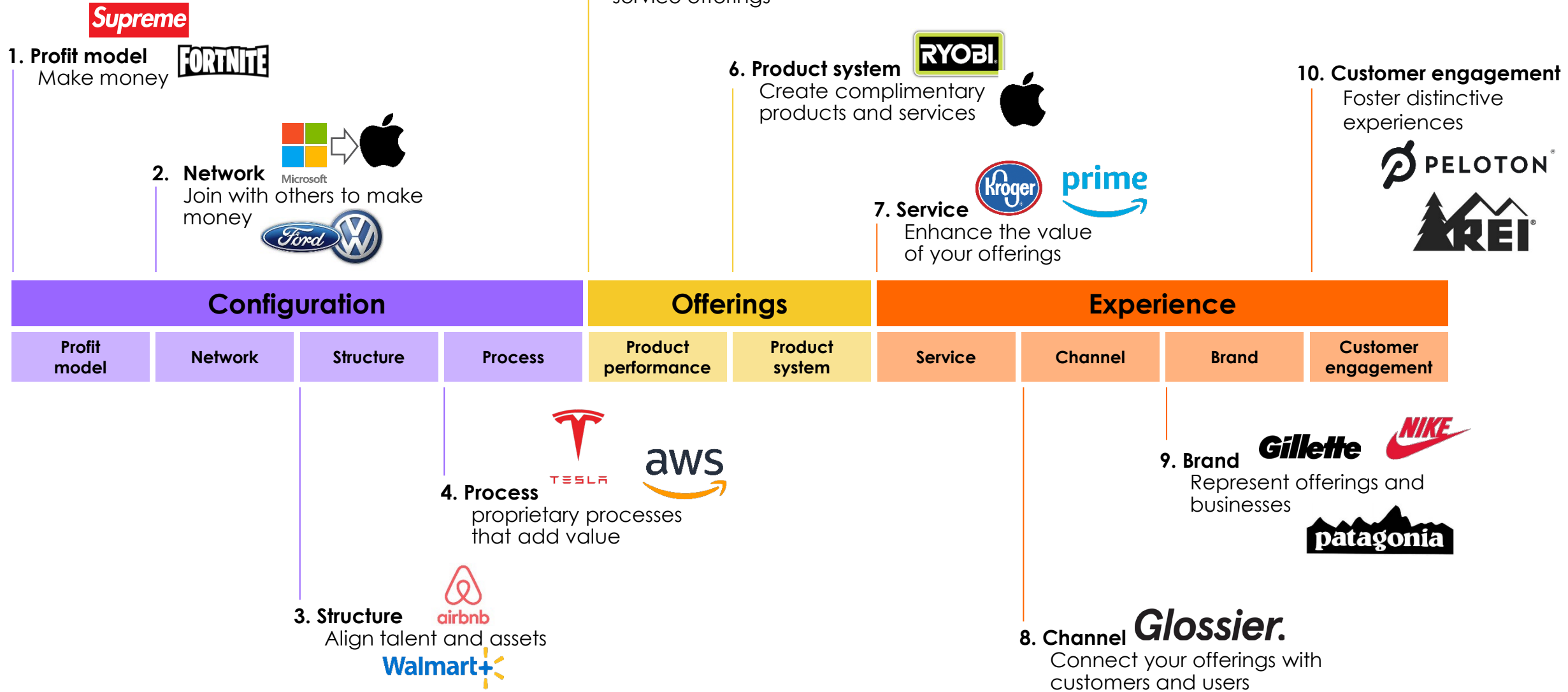
Ten Types of Innovation

By Doblin

Configuration				Offerings		Experience			
Profit model	Network	Structure	Process	Product performance	Product system	Service	Channel	Brand	Customer engagement

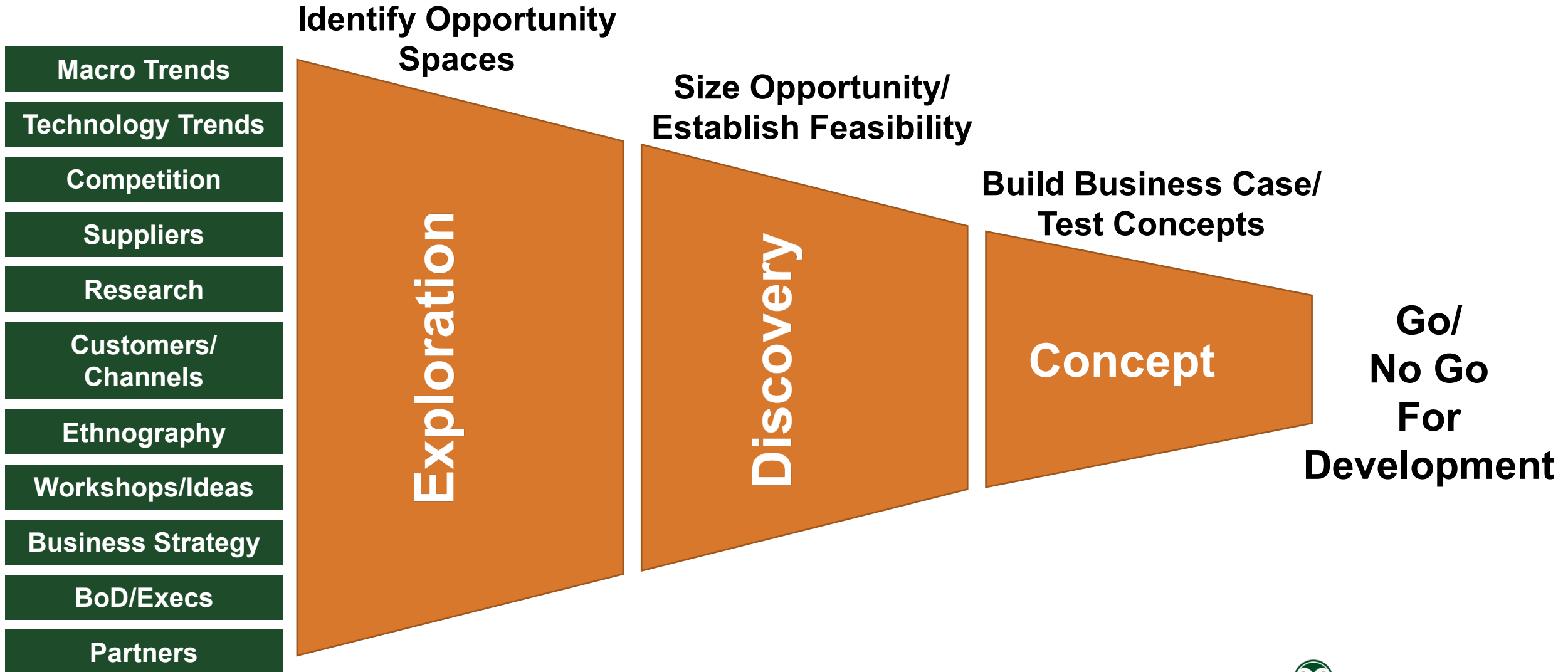


Ten Types of Innovation



Move beyond products to win!

Innovation Process



Stop the Innovation Wars

by Govindarajan and Trimble



SPOTLIGHT ON THE EFFECTIVE ORGANIZATION

Tensions between your innovation team and core operations can derail your company's growth initiatives. Here's how to end those battles.

Stop the Innovation Wars

by Vijay Govindarajan and Chris Trimble



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Stop the Innovation Wars - Discussion

- *Why was this article called “Stop the Innovation Wars”? Who is at war?*
- *Is it better to have Innovation initiatives isolated or integrated from the business?*
 - *Why?*
- *What challenges do companies face by integrating Innovation initiatives within the core business? Where does tension arise?*
 - *What challenges did BMW face during their first effort to design a hybrid vehicle?*
- *What steps can a company take to successfully drive core business and new innovation concurrently?*
 - *How did Lucent Technologies build a Service Business?*
 - *Were they successful?*
 - *What are the pros and cons of hiring ‘insiders’ for an innovation project?*
- *What’s more important, the innovation engine or the performance engine?*
 - *In an ‘all-out fight’ who always wins between the Performance Engine and the Innovation Initiative?*
 - *How do you mitigate these tensions → rivalries → hostilities → wars?*
 - *How did the CEO of WD-40 manage the “No Mess Pen” project?*



Stop the Innovation Wars – Key Takeaways

- **Avoid the Trap of Choosing One Over the Other:** Companies do not need to choose between the performance engine and the innovation team; they need both to thrive.
- **Leadership is Critical:** Strong, balanced leadership is essential to manage tensions, provide support, and ensure both teams collaborate effectively.
- **Separate but Integrated:** Creating separate but integrated structures allows innovation teams to operate without disrupting the performance engine.
- **Accept and Learn from Failure:** Organizations should foster a culture that accepts failures and learns from them, encouraging ongoing innovation.
- **Custom Metrics for Innovation:** Use appropriate metrics to measure innovation that focuses on learning and future potential rather than immediate financial results.

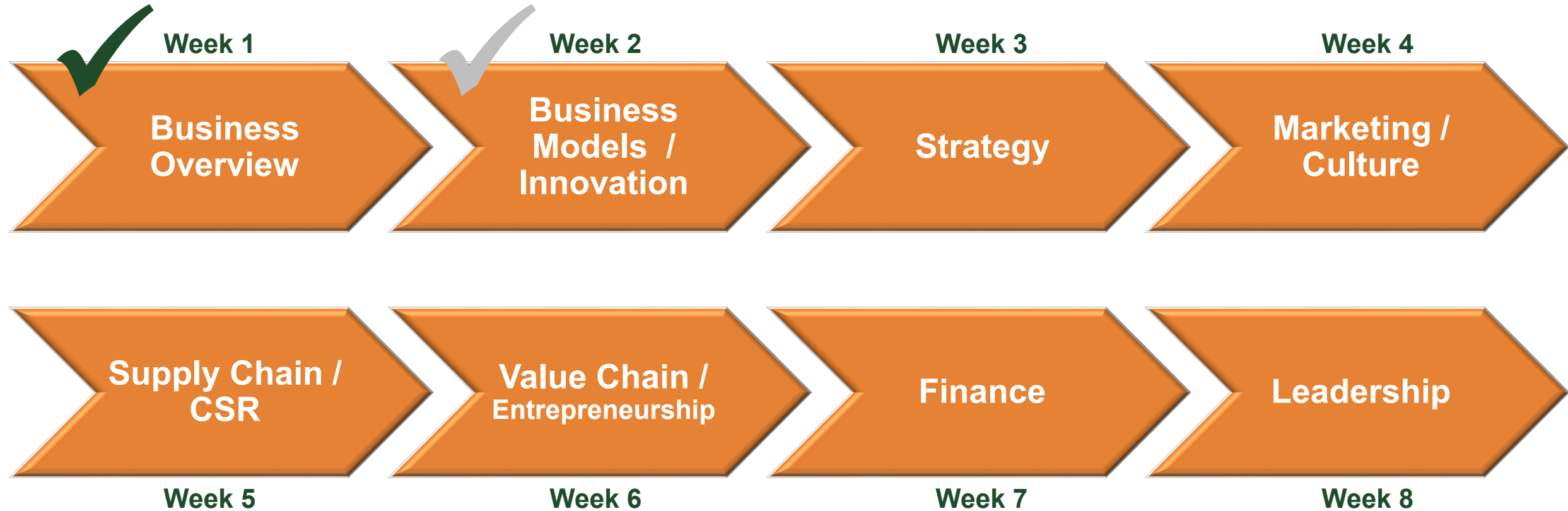


Week 2 – Wrap Up...



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Course Outline



Homework

- Assignments (Due Sept 9)
 - Week 2 Quiz
 - BMC Assignment
 - Online Students: Comment on two Networking topic posts
- Reading/Videos for next week
 - The Five Forces that Shape Strategy, by Michael Porter
 - Video (17 min): [Porter's 5 Forces EXPLAINED by B2U](#)
 - Video: [StratOp Process Introduction](#)



Business Model Canvas (BMC) Instructions

You will use this deck for this template for this week's assignment. You will turn in this PowerPoint file as your homework submission. With each subsequent assignment, please include the "Student Name" and "Business Profile – Overview" slides with your submission. Here are some points to remember when using this template:

- You must use the same company for all assignments. Preferably, this is the company you currently work for. However, if you are not working at the moment, or your company just doesn't work well for these assignments (i.e. government agencies, small volunteer organizations) then select a company in an industry that interests you or that you would like to work for.
- These assignments are built around the company you work for to maximize your ability to apply the content to a familiar context. However, it's a challenge for ICs that may not be as familiar with your organization. Provide additional detail, additional notes, or anything else that can help your IC grade the assignment either in slide notes or in additional slides.
- There are notes on each slide indicating which assignment that slide is a part of to make it easy for you to know when each slide needs to be completed. The slide notes may also contain additional instructions – make sure you read them!
- If additional space is necessary, you may insert additional slides and/or use the notes option, just make it clear to your IC that the content is continued on the next slide.

FILE NAMING

- Please follow the file naming convention below. This helps your IC find your assignment easily:
LASTNAME.FIRSTNAME.ASSIGNMENTNAME. Example: PORTER.MICHAEL.BPA



Assignment Grading Criteria

BMC Rubric	
Criteria	Pts
All boxes complete. Depth, detail, and thought put into each section of the canvas. NOTE: Examples in discussed during the lecture were simplified. More detail and depth is expected for full credit. Applied class concepts to the analysis.	60 pts
Explain your customer segments and why is this the case. (Mass market, Niche market, Segmented, Diversified, Multi-sided) List each revenue stream identified on your BMC and state the pricing mechanism used for that stream. List each key resource and specify which of the four general categories that resource belongs in. Why do you believe this is?	20 pts
Total Points: 80	

Evaluation Criteria (from Course Syllabus)

Support Quality of Work:

- Each statement or explanation is supported by sound facts, logics, or data points.
- Analysis yields complex and nuanced syntheses of ideas, demonstrating true understanding.

Accurate Class Concept Use:

- Class concepts are used throughout the assignment in a manner that demonstrates a full understanding of the concept.

Critical Thinking:

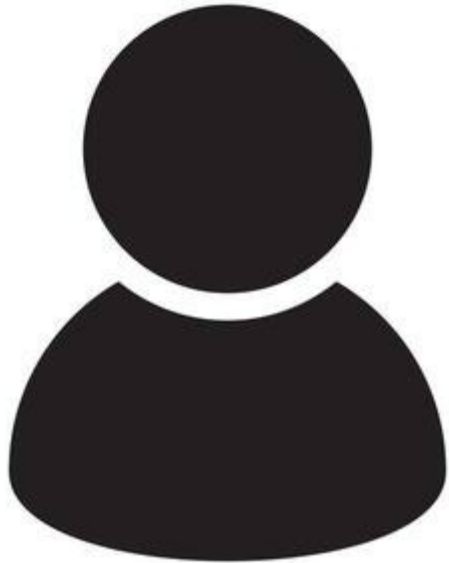
- Exercises include data and reasoning that confirms or disconfirms the thesis.
- The analysis or explanation demonstrates an understanding of the uncertainty surrounding the facts, logics, and conclusions.

Mechanics and Professionalism:

- Work is professionally presented and free from grammatical or typographical errors.
- Headings, images, figures, and tables are appropriately and effectively used.

WOW Factor:

- Approximately 10% of the total grade will be determined by the WOW factor. This is evidence of work that exceeds expectations. These points are reserved for those projects that go beyond assignment requirements and demonstrate creativity, extra effort, and refined professionalism.



Student photo

- Insert student name here

(Please use the name you prefer your IC use for communication with you)



Business Profile – Overview

Slide from (BPA)

- Business name:
- Business website:
- Products/services:
- Target market(s)/customers:
- Top rivals/competitors:





Business Model Canvas

www.businessmodelgeneration.com

Key Partners • XXX	Key Activities • XXX	Value Propositions • XXX	Customer Relationships • XXX	Customer Segments • XXX
	Key Resources • XXX		Channels • XXX	
Cost Structure • XXX			Revenue Streams • XXX	



Additional BMC Detail

- Explain your customer segments and why is this the case.
 - (Mass market, Niche market, Segmented, Diversified, Multi-sided)
- List each revenue stream identified on your BMC and state the pricing mechanism used for that stream.
- List each key resource and specify which of the four general categories that resource belongs in.
 - Why do you believe this is?



Thank You



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